Global Macro Outlook and Strategy

Global Rates, Commodities, Currencies and Emerging Markets

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Overall summary

US Rates

- Money markets price an earlier and more aggressive Fed hiking path than our forecast, though with labor market data potentially suggesting policy may not be restrictive and term premium normalizing, this justifies an upward sloping OIS curve. Global central bank tightening combined with unattractive Treasury valuations versus other DM government bonds should anchor Treasury yields at higher levels, and could push yields higher from here. We project 2- and 10-year yields will rise to 4.20% and 4.70%, respectively, at YE26. Stay short 10-year Treasuries versus Bunds, and enter 10s/30s Treasury curve flatteners, as a soft-bearish trade with relative value. Given large funding gaps emerging in FY27 and beyond, we expect Treasury to remove the "at least" from its forward guidance in August, to prepare for a multi-quarter series of coupon increases commencing in February 2027. The administration's focus on lowering long-end yields increases risks this forward guidance change may be delayed, potentially pushing coupon increases later into 2027. We adjust lower our projections for foreign demand for Treasuries, as well as our bank demand forecast

International Rates

- After the sharp sell-off driven by the energy price spike at the start of the Middle East conflict in late February, DM front-end rates have traded in a wide range over the past couple of months. With inflation still high but growth broadly holding up, we expect most DM central banks to deliver a gradual and shallow policy tightening over the coming months. OIS markets are broadly pricing a larger and faster tightening than our forecasts across most DM. On the Middle East conflict, we believe that risks remain skewed more towards the ongoing status quo and Strait of Hormuz limbo. We continue to expect EUR and GBP rates to range trade and our strategy is to favour long positions when valuations are close levels projected in our energy price spike scenario.

Commodities

- We estimate June oil flows through Hormuz are running at 5.1 mbd, up from 2.9 mbd in May, 3.3 mbd in April, and 2.2 mbd in March. The rebound is meaningful, but it still leaves flows at only about 25% of pre-war levels. NWE storage sits at record lows for this time of year, and the longer summer TTF prices remain at a premium to winter prices and at a discount to JKM, the higher the risk of policy intervention.
- The sharp deficit in aluminum is taking time to transmit through the supply chain, a process that will continue even after the Strait reopens. As part of the US-China summit held on May 15-16 in Beijing, China has agreed to purchase US agricultural products of at least $17 billion per year in addition to the already agreed upon purchase commitments of 25 million tonnes of soybean purchases per year in 2026-28.

Currencies

- Pockets of upside inflation surprises in G10, rising US real yields, and a fading debasement narrative keep our bullish USD/bullish carry barbell strategy intact. Chair Warsh's inaugural FOMC is the marquee event next week, with the 2027 dot and the press conference set to be market-movers. An orthodox acknowledgement of stronger US cyclicals may be enough to constiute a hawkish outcome for the dollar, which continues to trade at a discount to rates fair value; we head into event long. History counsels that the dollar reliably appreciates ~5% in the 6 months leading up to the first Fed hike of a cycle, FX carry benefits, and vol ratchets 3-5pts post-delivery. Elsewhere in G10, a fully-priced hike, potential QT halt, and Ueda's absence at the presser skew JPY risks dovish at next week's BoJ; hawkish Norges vs. dovish Riksbank divergence could headline European CB outcomes; while the Makerfield by-election aftermath will likely prove a bigger GBP driver than the BoE.

Emerging Markets

- Resilient cyclical backdrop, low fundamental vulnerabilities and the proactive stance of several EM central banks to allow for continued carry outperformance even as higher inflation and a likely hawkish shift by the Fed could challenge the asset class.
- We turn OW EM FX (from MW) in higher yielders and currencies where central banks are ready to hike and also favor frontier FX. Elsewhere, we note that valuations do not offer a clear risk reward amid elevated risks and we stay MW rates, sovereign and corporate credit.

Agenda

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We project a Fed on hold through 2026. We look for 2- and 10-year Treasury yields to reach 4.20% and 4.70% by YE26 and 4.30% and 4.75% by 2Q27

J.P. Morgan US interest rate forecast, %

	Actual	2Q26	3Q26	4Q26	1Q27	2Q27
	12-Jun-26	30-Jun-26	30-Sep-26	31-Dec-26	31-Mar-27	30-Jun-27
Rates (%)						
Effective funds rate	3.62	3.62	3.62	3.62	3.62	3.62
SOFR	3.60	3.60	3.60	3.60	3.60	3.60
2-yr Treasury	4.08	4.15	4.15	4.20	4.20	4.30
3-yr Treasury	4.13	4.20	4.20	4.25	4.25	4.35
5-yr Treasury	4.21	4.30	4.40	4.45	4.50	4.50
7-yr Treasury	4.34	4.40	4.45	4.55	4.65	4.65
10-yr Treasury	4.48	4.55	4.65	4.70	4.75	4.75
20-yr Treasury	4.98	5.05	5.15	5.20	5.25	5.25
30-yr Treasury	4.97	5.00	5.10	5.15	5.15	5.15
Spreads (bp)						
Fed funds/2yr	46	53	53	58	58	68
2s/10s	40	40	50	50	55	45
2s/5s	13	15	25	25	30	20
5s/10s	27	25	25	25	25	25
5s/30s	76	70	70	70	65	65
10s/30s	49	45	45	45	40	40

Source: J.P. Morgan

- We forecast US GDP will grow 2.0% (q4/q4) in 2026, while core PCE remains firm at 3.4% (q4/q4). The unemployment rate should gradually fall over 2026, reaching 4.1% (%q/q, saar) in 4Q26
- **We expect the Fed to remain on pause for the whole of 2026**, holding the funds rate target range to 3.5-3.75%. We see the Fed as likely to raise policy rates in 3Q27 as labour markets tighten and inflation remains above target
- Against this backdrop, we see **2-year Treasury yields reaching 4.20% by YE26. Meanwhile 10-year yields should rise to 4.70% by YE26**
- We see the intermediate section of the curve underperforming, with 2s/10s modestly steeper over the period

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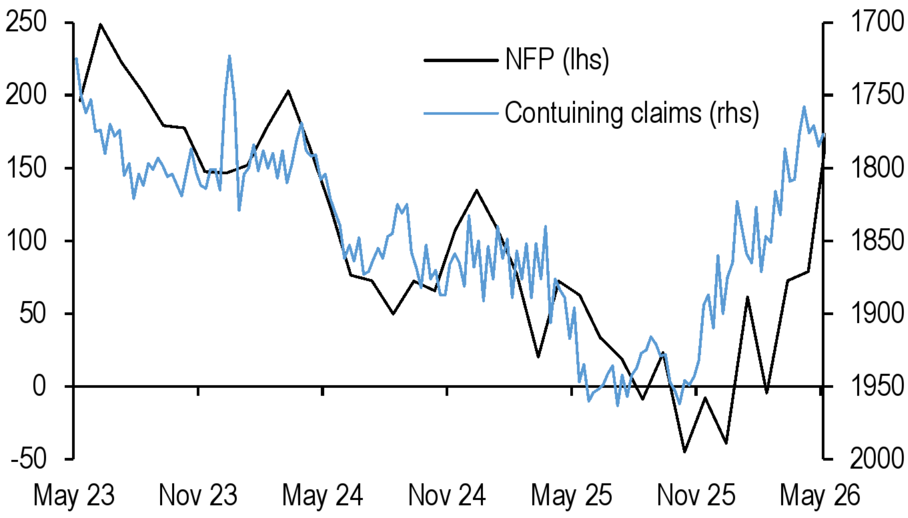
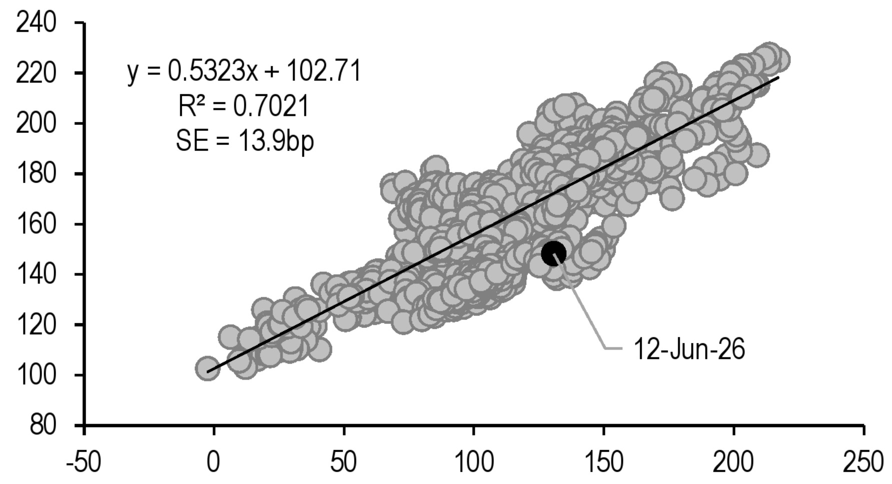
Market policy expectations are likely to remain more hawkish than our own, and Treasury valuations remain unattractive: sell 10-year Treasuries versus German Bunds

Three-month moving average of nonfarm payroll growth (lhs, '000s) versus continuing jobless claims (rhs, '000s)



Source: BLS, Department of Labor

10-year Treasury/German bund spread regressed on 1y1y USD/EUR OIS spread (bp), regression over the last 5 years; bp



Source: J.P. Morgan

- OIS forwards are pricing in a full hike by the January meeting, and upward of 35bp in hikes over the next 1- to 2 years, a more hawkish pricing than our own projection of a single hike in 3Q27. However, we do not think this gap will close soon, as a stable unemployment rate leaves a question of whether the current stance of monetary policy is actually restrictive
- A steeper OIS curve should propagate through to higher Treasury yields, and we think valuations also support Treasury yields rising further from current levels: intermediate Treasury yields appear 24bp too low to fair value model
- Central banks which lean hawkish could act to keep yields across the DM and in the US buoyed at higher levels than prevailed pre-conflict, especially as Treasuries remain relatively unattractive compared to other DM bonds. For this reason, alongside relatively attractive European valuations, **we recommend selling 10-year Treasuries versus German bunds**

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We think flatteners offer better value than outright duration shorts. With most curve pairs appearing too steep and given factors above, we recommend 10s/30s flatteners

Current levels for various Treasury curves, with 5-year statistics and regression statistics from curve fair-value models* with current residuals and z-scores;

Curve	Last	Min	Max	Avg	%	R^2	1y1y OIS	5y5y BE	Tariff dummy	Fed Balance Sheet	Current residual	Current Z-score	3m C+R
2s/5s	13	-78	78	-5	67%	71%	-0.32	0.75	0.07	-0.02	31.1	1.5	3.3
2s/10s	40	-109	136	9	62%	82%	-0.52	0.93	0.14	-0.05	37.2	1.5	4.0
2s/30s	89	-119	203	40	64%	87%	-0.67	0.84	0.26	-0.08	51.5	1.9	5.7
3s/7s	21	-55	88	8	62%	86%	-0.29	0.46	0.05	-0.03	14.9	1.3	0.3
5s/10s	27	-36	71	14	67%	93%	-0.20	0.18	0.07	-0.03	6.1	1.0	0.7
5s/20s	77	-23	133	54	68%	90%	-0.27	-0.02	0.19	-0.04	17.0	1.6	0.8
5s/30s	76	-46	141	45	69%	93%	-0.35	0.09	0.20	-0.06	20.3	1.7	2.4
7s/10s	14	-21	31	6	69%	95%	-0.09	0.08	0.05	-0.02	2.5	0.9	0.8
10s/20s	50	13	65	40	72%	71%	-0.07	-0.20	0.12	-0.01	11.0	1.6	0.1
10s/30s	49	-18	70	31	72%	87%	-0.15	-0.09	0.12	-0.02	14.2	1.9	1.7
20s/30s	-1	-32	11	-9	74%	90%	-0.08	0.11	0.00	-0.02	3.3	1.1	1.6

*5-year regression of various Treasury curves on 1y1y OIS rates (%), 5y5y TIPS seasonally-adjusted breakevens (%), tariff dummy for trade uncertainty that turns 1 between 4/2/25 and 2/26/26, and Fed balance sheet size relative to GDP (%)

Source: J.P. Morgan

- The Treasury curve has retraced to its flattest levels in over a year, also driven by the hawkish shift in Fed policy expectation. However, most curve pairs appear too steep after controlling for 1y1y OIS, 5y5y TIPS breakevens, the Fed's balance sheet as a share of GDP, and our trade policy uncertainty variable, using a sample over the last 5 years
- Combined with our modest bearish bias conveyed in our interest rate forecasts, rich valuations versus other DM government bonds, and the output of our curve model, we think flatteners offer better value than outright duration shorts
- **Along the curve, we recommend 10s/30s flatteners as this curve appears 14bp steep after adjusting for its fundamental drivers, a divergence of nearly 2 standard deviations**

Kevin Warsh has now been sworn in as the new chair of the Federal Reserve. It would take a significant reduction in the size of the balance sheet to justify a 25bp rate cut

Statistics from J.P. Morgan 10-year Treasury fair-value model; units as indicated

Factor	Current value	Coefficient	T-stat
1y1y OIS rate; %	3.365	0.603	86.36
JPM US FRI; % pts	92.4	-0.055	-9.02
5y5y TIPS breakevens; %	1.975	0.080	1.71
Fed B/S as share of US economy	21.1	-0.113	-39.20
Tariff dummy variable*	1	-0.074	-4.35
R=squared; %	98.1%		
Standard Error; bp	13.6		
Residual; bp	-11.6		

* Represents trade policy uncertainty, that is 1 on and after 4/2/25

Source: J.P. Morgan, Federal Reserve

- The US Attorney for DC announced it was ending the investigation into the Fed headquarters cost overrun, which paved the way for the swearing in of Kevin Warsh as the new Chair of the Federal Reserve
- **We continue to believe that that the Committee's tradition of collegiality and respect for dissent means that policy is ultimately a collective decision, and that the chair’s effectiveness depends on their ability to align his views with the broader group**
- Warsh has made the case for simultaneously shrinking the balance sheet and cutting rates, as this would reduce the Fed’s footprint in the market while having a more neutral impact on financial conditions overall. Our fair value model suggests that it would take close to $1tn reduction in the size of the balance sheet even to warrant a 25bp cut

Incorporating a faster pace of tariff refunds and lower tariff revenue this year, we expect a deficit of $2.02tn in FY26 and $1.96tn in FY27

J.P. Morgan projection of net privately-held borrowing, Treasury buybacks, Federal Reserve purchases of Treasuries, and expected change in Treasuries held by private investors; $bn

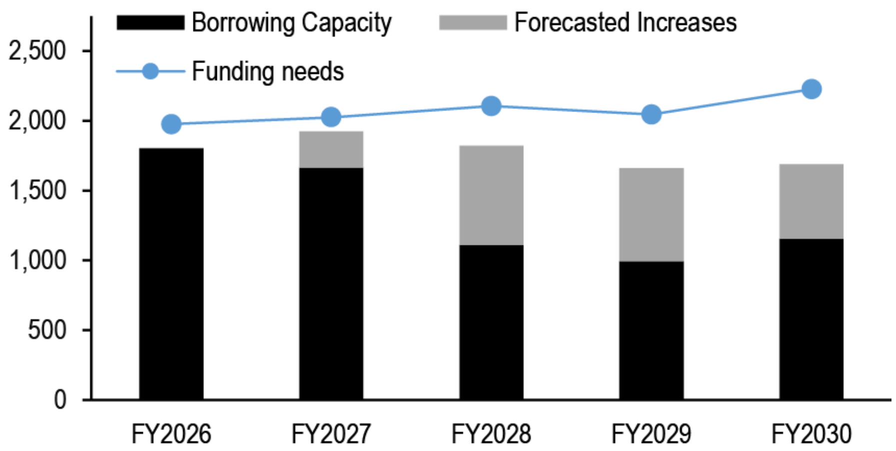
Year	Total net privately-held borrowing	Buybacks	Fed secondary market purchases		Net change in privately-held debt outstanding	
			Bills	Coupons	Bills	Coupons
CY 2020	4301	0	157	2184	2390	-432
CY 2021	1607	0	0	938	-1195	1961
CY 2022	1681	0	0	99	-37	1539
CY 2023	3122	0	0	0	2047	1107
CY 2024	2422	85	0	0	538	1823
CY 2025	2105	195	38	0	322	1719
CY 2026	2108	240	410	0	410	1293
CY 2027	2045	240	300	0	326	1419

Source: U.S. Treasury, J.P. Morgan

- IEEPA tariff refunds have been issued a modestly faster pace than we anticipated, and we now expect $75bn in refunds in FY26 and an additional $50bn in FY27. Moreover, we forecast a slower pace of tariff revenue accumulation this year at $325bn in FY26, before returning to a $400bn pace in FY27
- **Net of these factors, we now expect a deficit of $2.020tn in FY26 and $1.960tn in FY27, versus $1.955tn and $2.050tn, respectively, at the start of the year**
- Net of Fed purchases and buybacks, this translates to a $410bn change in privately-held bills and $1.293tn in net privately-held coupon issuance

We continue to believe Treasury will change its issuance guidance in August, but see a risk they could leave unchanged, pushing coupon auction increases further into FY27

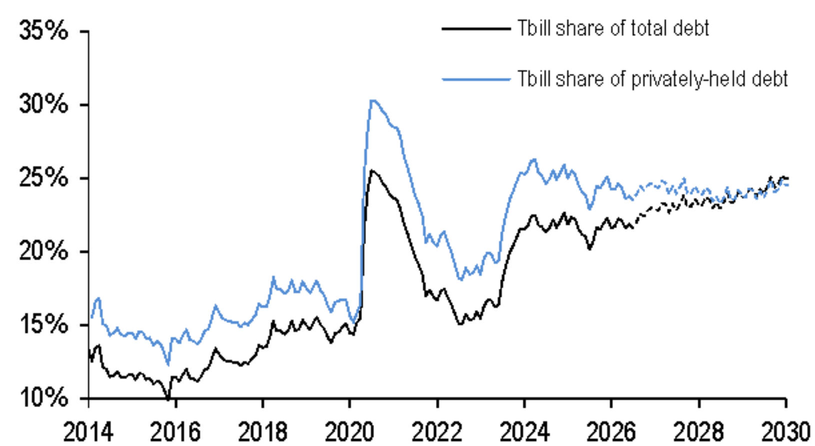
US Treasury net coupon borrowing capacity under unchanged issuance * and under J.P. Morgan forecast versus total funding needs; $bn**



* Incorporates SOMA add-ons from maturities of first-time Fed bill purchases
**Assumes multi-quarter series of increases to 2s through 10s beginning in February 2027

Source: US Treasury, CBO, J.P. Morgan

T-bill share of total debt vs. share of privately-held debt, including J.P. Morgan forecasts*; %



*J.P. Morgan forecasts reflect a multi-quarter series of nominal coupon auction size increases beginning in February 2027 concentrated in 2s through 10s, while 20s and 30s are left unchanged (see US Treasury Market Daily, 1/23/26 for details), and assume RMPs at a pace of $10bn/mo

Source: J.P. Morgan

- Under their current schedule, Treasury remains well funded in FY26, though large gaps emerge in FY27 and beyond. We expect Treasury to remove the guidance that it anticipates maintaining unchanged coupon auction sizes for “at least” the next several quarters in August ahead of revising coupon auction sizes higher in February 2027…
- …However, if potential political considerations for leaving guidance unchanged in May grows ahead of midterms, we see increased risk that Treasury will continue to leave guidance unchanged. This would push auction size increases further into FY27 and suggest increased reliance on T-bills over the interim. Given Fed RMPs and the ongoing reinvestment of MBS paydowns into T-bills, we see the privately-held bill share as staying relatively stable over the medium term

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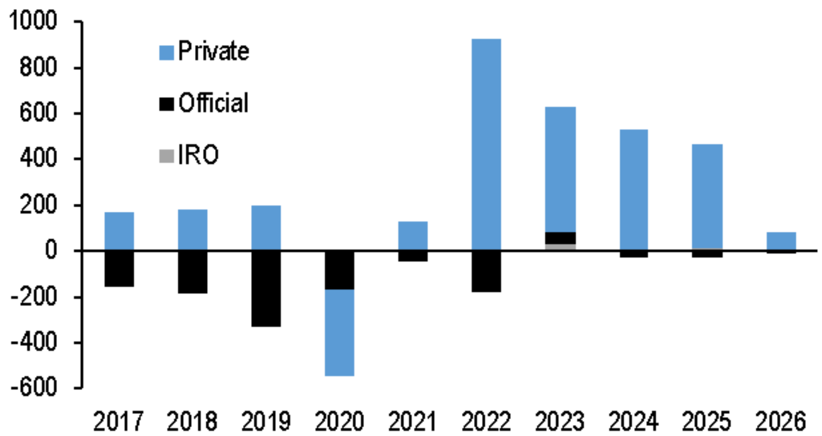
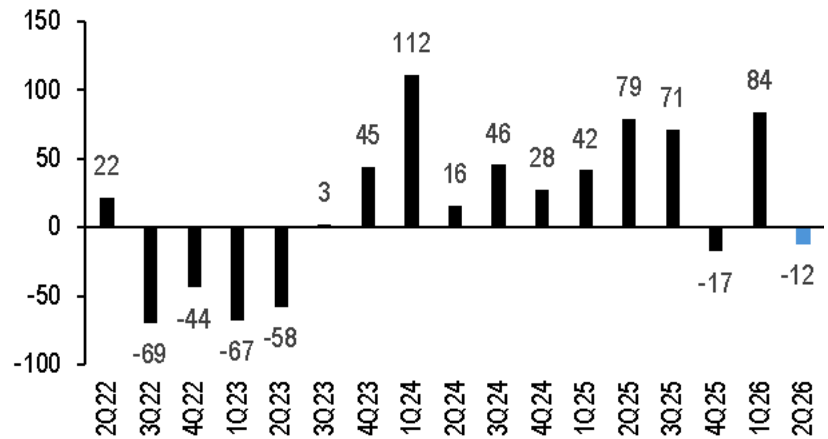
Foreign demand is running at its slowest pace since 2021 and commercial bank demand has waned, while we have seen robust bond fund inflows…

Annual net foreign purchases of long-term Treasuries by type*; $bn



*Through March 2026
Source: Treasury International Capital System

Quarterly change in commercial bank holdings of non-MBS Treasury and agency securities*; $bn



*2Q26 through 5/27/26
Source: Federal Reserve

- Foreign demand is running at its slowest pace since 2021, and demand continues to shorten along the curve. A resilient US economy, a Fed shifting hawkishly, and attractive valuations in home jurisdiction government bonds suggest foreign demand should remain weak
- Commercial bank demand has waned alongside firmer loan growth and unattractive valuations. We lower our demand forecast
- The AUM of the top core bond funds continue to increase at a robust clip, and we would expect yields near their cycle highs will keep inflows strong
- We continue to project reduced LDI demand. With DB pension plans heavily invested in fixed income securities, funding ratios above 100%, and the volatility in funding ratios having declined considerably, duration demand is likely to remain muted

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…We revise lower our demand forecasts, and the shift towards price-sensitive investors will help keep long-term yields anchored at higher levels

Annual net issuance of Treasuries versus purchases by investor types; $bn

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*
UST net issuance; $bn	557	1134	1068	4301	1607	1353	2434	1974	2425	2428
Investor										
Foreign Investors	308	120	298	67	606	393	594	609	509	450
Commercial banks	-43	87	126	328	449	9	-83	194	179	150
Pension/Insurance**	151	57	6	13	179	-8	143	226	183	150
Broker dealers	17	132	-47	-9	-104	85	121	130	71	100
Mutual funds/ETFs	186	121	187	24	410	127	101	211	259	225
Money market funds	-95	189	178	1343	-651	-751	1236	725	250	400
Fed	-9	-214	60	2388	963	-594	-720	-475	-100	410
Demand gap***	41	640	262	146	-244	2091	1042	354	1075	543

* J.P. Morgan estimates
** Includes private and state pension funds, life and property/casualty insurance companies
*** Positive number means supply exceeds estimated demand
Source: J.P. Morgan, Federal Reserve

- If our projections become reality, other investors will need to absorb $543bn in additional Treasury supply. This supports our thesis that with Treasury market ownership continuing to shift toward more price-sensitive investors, alongside a Fed on hold, this should help keep intermediate and long-end yields anchored at somewhat higher levels through the remainder of this year

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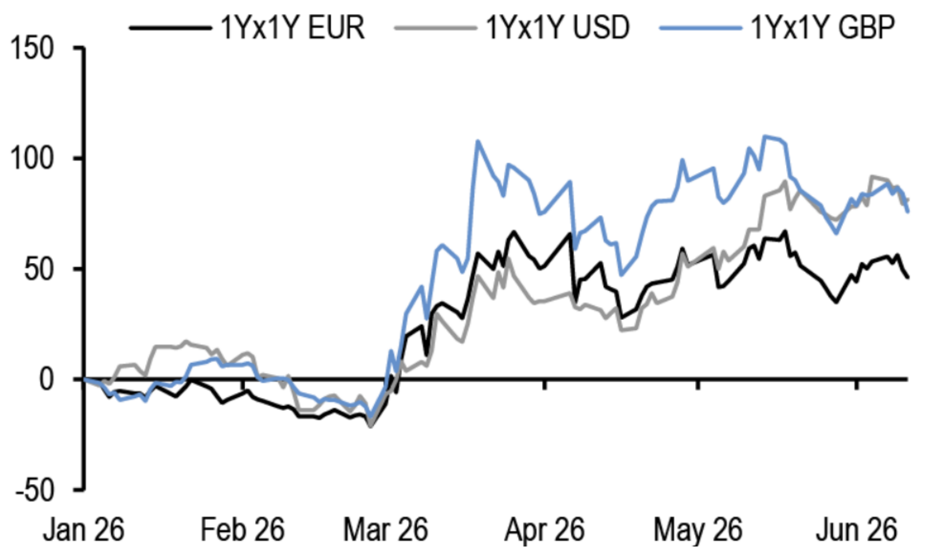
Agenda

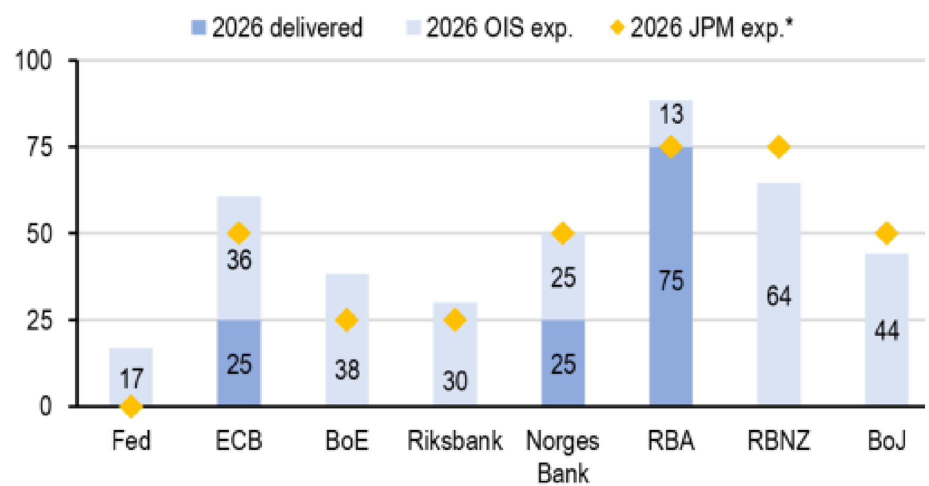
DM Rates: Range trade duration, long EUR vs. US cross-market

Cumulative change in 1Yx1Y OIS curves in EUR, USD and GBP;
Since 1 Jan, bp



Source: J.P. Morgan.

Delivered change in policy rates in 2026 and cumulative change priced in by end-26 across DM OIS markets vs. JPM forecasts*;
Bp

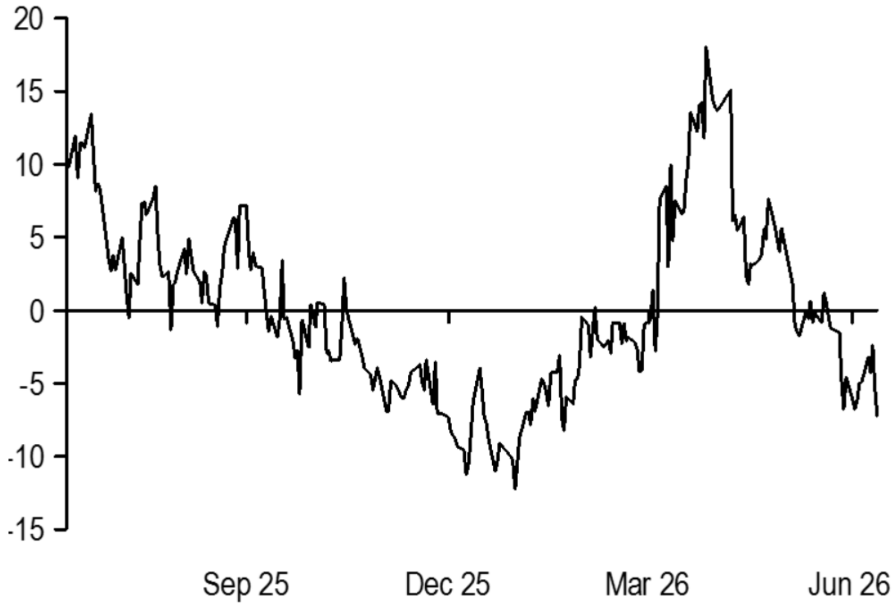


Source: J.P. Morgan.

- **In 2H26, we expect DM economies to remain broadly resilient despite elevated inflation from the energy shock, with risks of weaker performance in the Europe. We expect most DM central banks to deliver a gradual and shallow policy tightening** over the coming months. Relative to our forecast, OIS markets are broadly pricing a larger and faster tightening
- On the Middle East conflict, we think energy prices are unlikely to fall quickly after a re-opening of the Strait of Hormuz. **We still expect EUR and GBP rates to range trade and we continue to favour long positions when valuations are at the upper end of the range, close to the levels projected in our energy price spike scenario**.
- In terms of our trading portfolio, we hold shorts in 10Y UST vs. Bunds given still rich relative Treasury valuations in the intermediate sector and supportive RV. We tactically pay Sep26 MPC OIS and sell Jun27 3M SONIA vs. Jun27 Euribor. We remain biased to pay Scandinavian rates vs. Euribor. In Antipodean markets, we stay received 2Yx1Y AUD-USD spread and paid 5Yx5Y NZD-AUD spread.

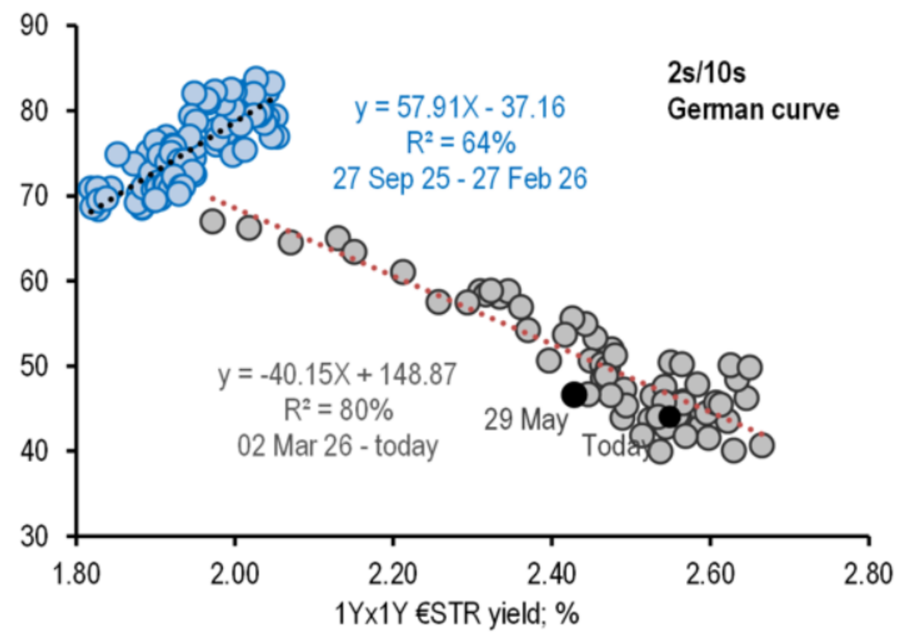
Euro area: 10Y Bund to trade in 2.85-3.15% range, trade tactically from the long side; keep OW 10Y Germany vs. US

10Y US-Germany yield spread regressed against 1Yx1Y USD-EUR OIS rate and US-Euro Forecast revision index (FRI);
Past 12M; bp



Source: J.P. Morgan.

2s/10s German par curve regressed against 1Yx1Y €STR rate;
Bp

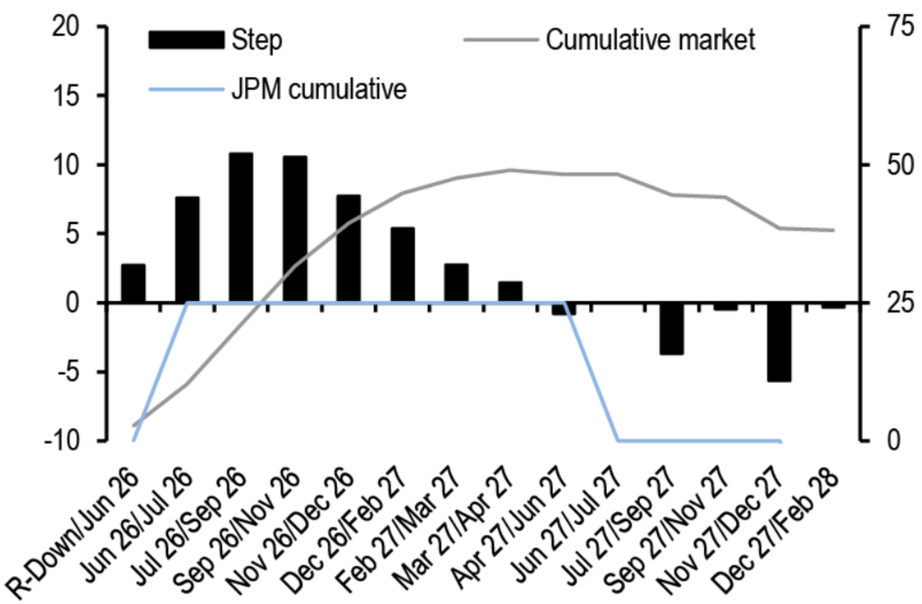


Source: J.P. Morgan.

- **<u>Duration</u>: Over 2H26, we maintain a strategic bullish duration bias on 10Y Germany both outright and cross-market vs. US, with yields likely to range-trade over the near-term. We expect 1Yx1Y €STR to stay in a 2.35%-2.80% range and 10Y Bund yields in a 2.85–3.15% range. Over the near-term, we prefer to trade the ranges tactically from the long side and retain a bias to scale into long duration on moves back toward ~3.10%. Cross-market, we keep longs in 10Y Germany vs. US.**
- **<u>Intra-EMU strategy</u>: We maintain our cautious stance on intra-EMU and €-SSA spreads:** uncertainty remains elevated, valuations do not look particularly cheap, and positioning remains modestly crowded on the OW side. Hold long 30Y EU vs. swap to express our strategic OW EU theme. Keep UW 10Y Belgium vs. France/Germany in 50:50 flies as an attractive convex hedge against tail risk of further escalation in the Middle East conflict.

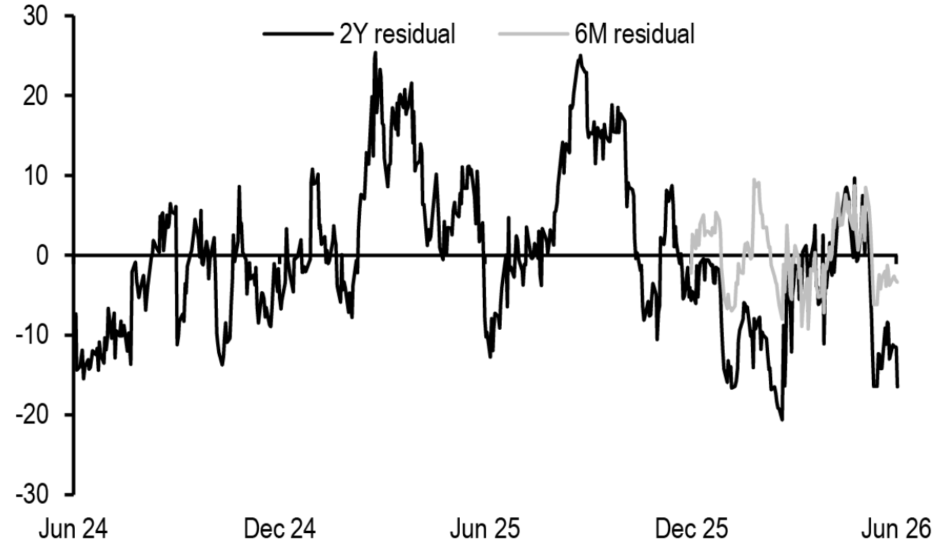
UK: Tactically pay Sep26 MPC OIS; 10Y gilt yields to range trade (4.65%-5.20%) over the summer

MPC OIS step pricing, (LHS) cumulative tightening priced (RHS) and J.P. Morgan cumulative Bank Rate forecast (RHS)
Bp



Source: J.P. Morgan.

6M and 2Y residuals from regressing 10Y gilt yields vs. 10Y US, 1Yx1Y SONIA and BoE
Past 2Y, bp

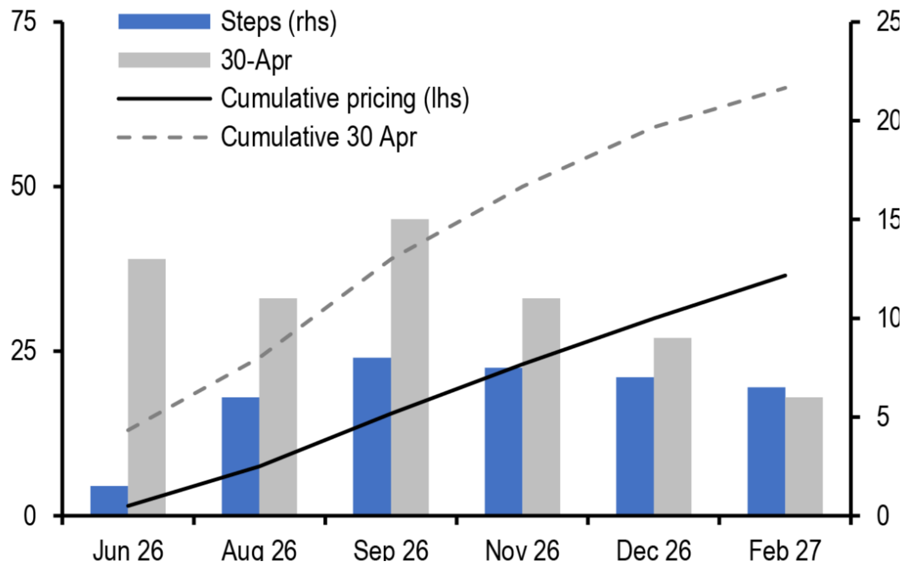


Source: J.P. Morgan.

- We expect the BoE to keep rates on hold at 3.75% at the June meeting, with only a couple of bp of hikes priced in, with a 7-2 vote as Pill and Greene are likely to dissent for a 25bp rate hike. We recommended tactically **paying Sep26 MPC OIS** and **selling Jun27 3M SONIA futures vs. Jun27 Euribor futures** as a low beta short proxy on Jun27 SONIA
- **We broadly expect GBP rates to range-trade around our Strait of Hormuz limbo scenario over the summer** with 1Yx1Y SONIA in 3.95%-4.6% and 10Y gilts in a 4.65%-5.20% range as the macro impacts from higher energy prices will take time to dissipate and the medium-term outlook for the conflict remains unclear. Markets have recently priced in increased optimism around the US-Iran deal, but we think the potential for a further significant rally is limited
- On politics, if Burnham wins the upcoming by-election (18th June), we expect limited market impact and we would look to tactically fade any steepening as we think it is too early to consider the fiscal implications.

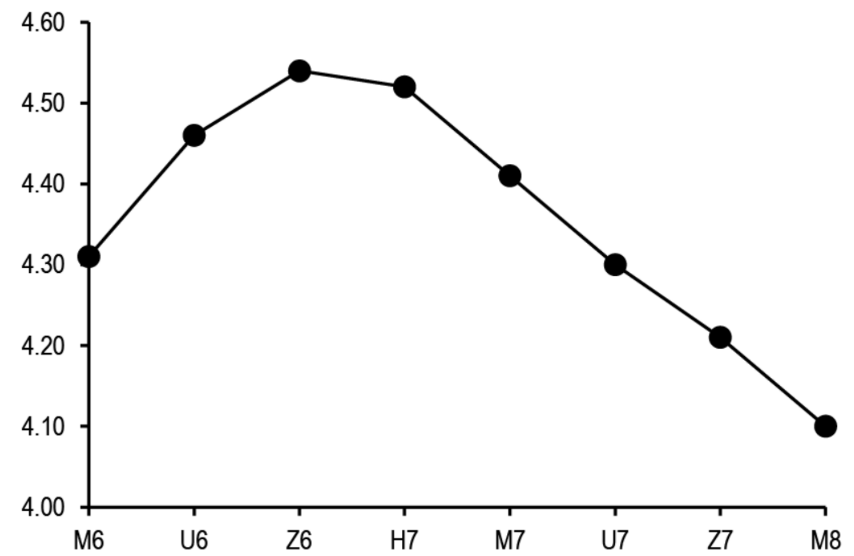
Scandinavia: expect underperformance vs. Euro

SEK 3M FRA inter-meeting steps and cumulative pricing;,current and 30 April levels
Bp



Source: J.P. Morgan.

NOK 3M FRA curve*;
As of 12 Jun; %

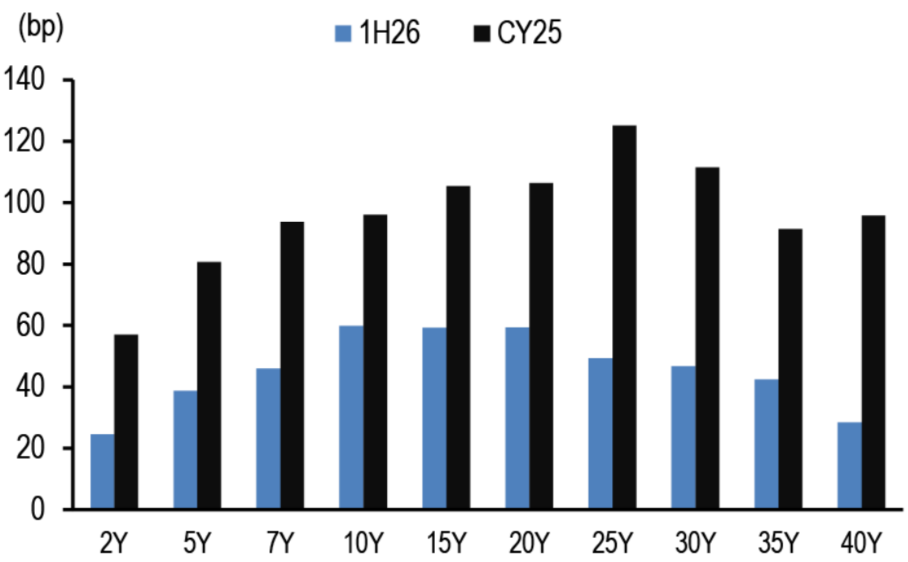


Source: J.P. Morgan.

- **Sweden**: risk-reward supports higher money market yields.
  - We favour trading duration tactically from the short side but prefer to **position for cross-market underperformance of vs. Euro** by paying Dec26 SEK FRA vs. Euribor.
  - Upcoming parliamentary elections raise the risk of more fiscal easing. We hold 5Yx5Y (Stibor – Euribor) spread wideners
- **Norway**: Sticky core inflation pressures, labour market resilience and steady growth support a hawkish Norges Bank bias over the coming months.
  - **Position for pricing out easing over 3Q27-1Q28:** We expect a hike in September but there are risks that market would price a longer pause thereafter (i.e. take out easing priced beyond 3Q27) rather than a higher peak. We recommend entering Dec26/Dec27 NOK 3M FRA curve steepeners.
  - **Position for cross-market underperformance vs Euro:** Nibor yields should remain relatively sticky, and we hold our NOK-EUR Dec26 3M FRA wideners

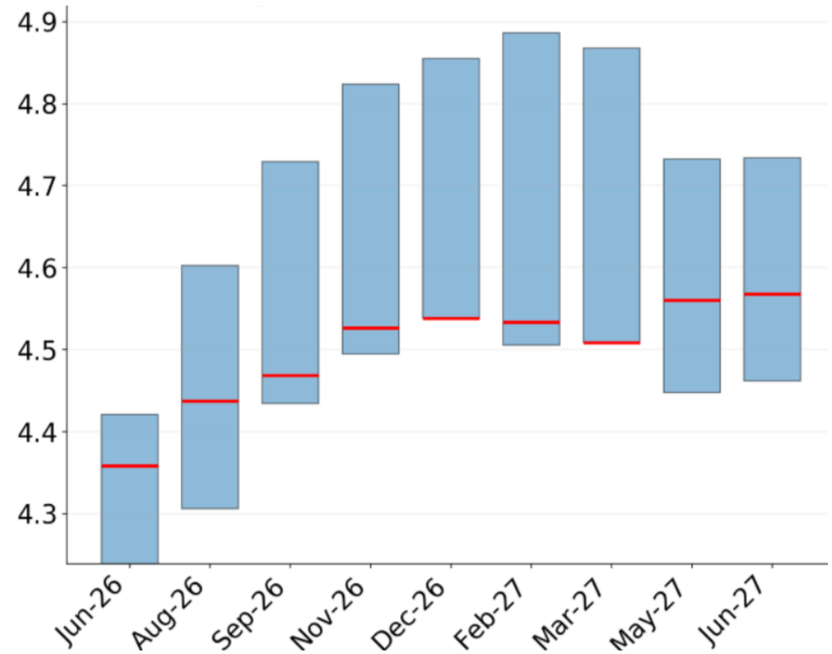
Asia: in Japan, 6-10Y JGBs to underperform; in Antipodean markets, stay received 2Yx1Y AUD-USD (IRS-SFR) spread and paid 5Yx5Y NZD-AUD OIS spread

Change in JGB Yields
Bp



Source: J.P. Morgan.

RBA OIS meeting date OIS; current (red) and range since mid-March (blue)
%



Source: J.P. Morgan.

- **Japan**: The front-end (up to 5Y sector) is likely to remain stable with BoJ peak priced around 2%, while the 6–10y sector faces the strongest supply pressure and is expected to underperform. Although the super-long sector has seen improved supply-demand conditions, structural demand remains weak due to reliance on overseas and pension flows and exposure to fiscal risks.
- **Australia/New Zealand**:
  - Elevated inflation will keep the RBA sidelined this year, even as the macro data starts to soften with rate cuts likely from mid-2027. Open tactical Nov-26/May-27 RBA OIS flattener and keep 2Yx1Y AUD-USD (IRS-SFR) spread tightener.
  - NZD yields remain high beta to US, while the NZD curve has already flattened into a hiking cycle, but without the level of the cash rate being priced as overly restrictive. Stay paid the NZD-AUD 5Y5Y IRS spread.

International Rates trade recommendations

Euro area

- **Euro duration**: Strategic bullish duration on 10Y Germany both outright and cross-market vs. US, with yields likely to range-trade over near-term. Keep short 10Y UST vs. Bund.

- **Intra-EMU**: Stay cautious on intra-EMU/€-SSA spreads. Aim to trade French spreads tactically around Presidential election newsflow and trade Italian spreads tactically around 2027 budget negotiations.

- **Derivatives**: We hold bullish duration proxies via 3Mx(1Yx1Y) receiver fly and favour bullish structures on Sep27 Euribor implemented via 1Y midcurves. Hold 1Y/2Yx1Y conditional bear-flatteners via 3M payers and also enter Dec26/Dec28 conditional bear flattener. Hold 2s/10s conditional bull steepener with bias towards adding 2s/10s bear-steepeners towards end-3Q26. Keep medium term 10s/30s steepening bias. Hold longs in Dec26 SOFR put versus Euribor. Stay neutral on German swap spreads but medium-term bias towards modest narrowing of Schatz spread and widening of Bund spreads. Hold Bund/Buxl swap spread curve steepening bias. Expect volatility normalization to continue. Stay short 3Mx(3Yx1Y) unhedged straddles. Enter 2s/10s vol curve steepener and hold 3Mx5Y/1Yx5Y expiry curve steepener.

UK

- **UK**: Tactically pay Sep26 MPC OIS. Sell Jun27 3M SONIA futures vs. Jun27 Euribor. Stay neutral duration, expect 10Y gilt yield to range trade. Tactical flattening bias on 10s/30s gilt curve. Medium term narrowing bias on 10Y swap spreads. Keep1Yx5Y/1Yx10Y volatility curve steepeners.

Scandinavia

- **Sweden**: rotate from paying Sep26 SEK 3M FRA versus Euribor into paying Dec26 SEK 3M FRA vs Euribor. We hold 5Yx5Y (Stibor – Euribor) spread wideners. Stay neutral swap spreads.
- **Norway:** enter Dec26/Dec27 NOK 3M FRA curve steepeners to position for a steepening of the front-end of the money market curve. Hold our Dec26 NOK-EUR 3M FRA wideners

Japan

- **Japan**: Keep tactical 5s/20s JGB curve steepeners. Enter tactical 5s10s30s JGB body short.

Antipodean

- **Australia & New Zealand**: Stay received the AUD USD 2Y1Y spread. Stay paid the NZDAUD 5Y5Y spread. Open a Nov-26/May-27 RBA OIS flattener.

Agenda

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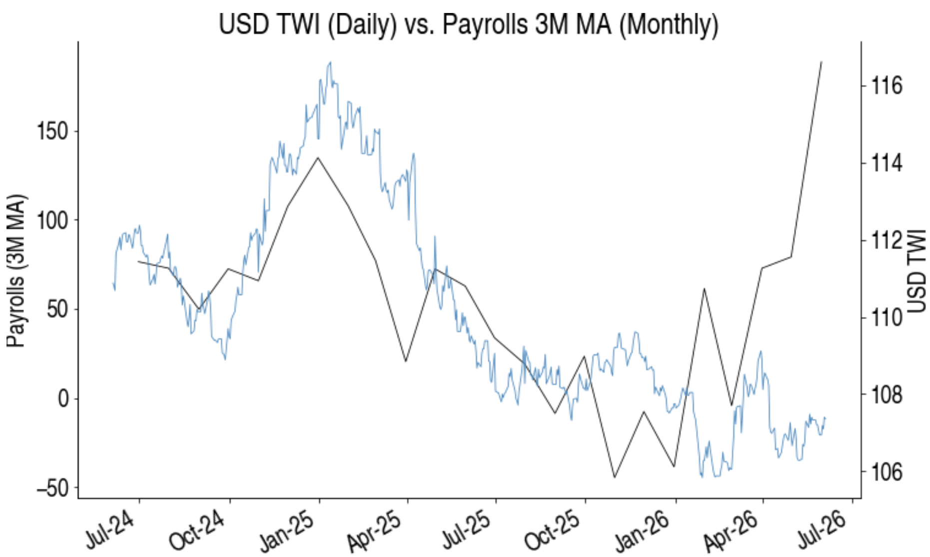
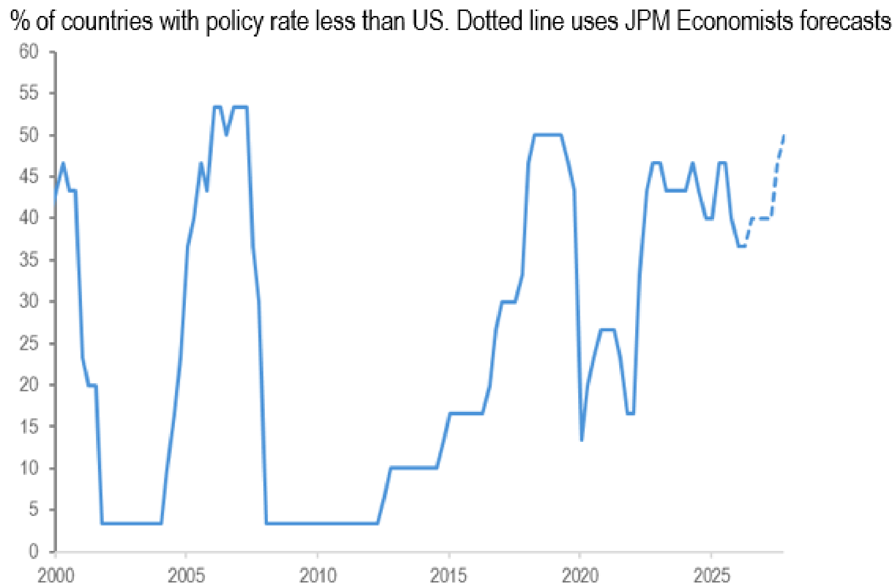
Welcoming Goldilocks and US exceptionalism

LHS: Payrolls (3M MA). RHS: USD TWI



Source: J.P. Morgan

% of countries with policy rate less than US. Dotted line uses JPM Economists forecasts

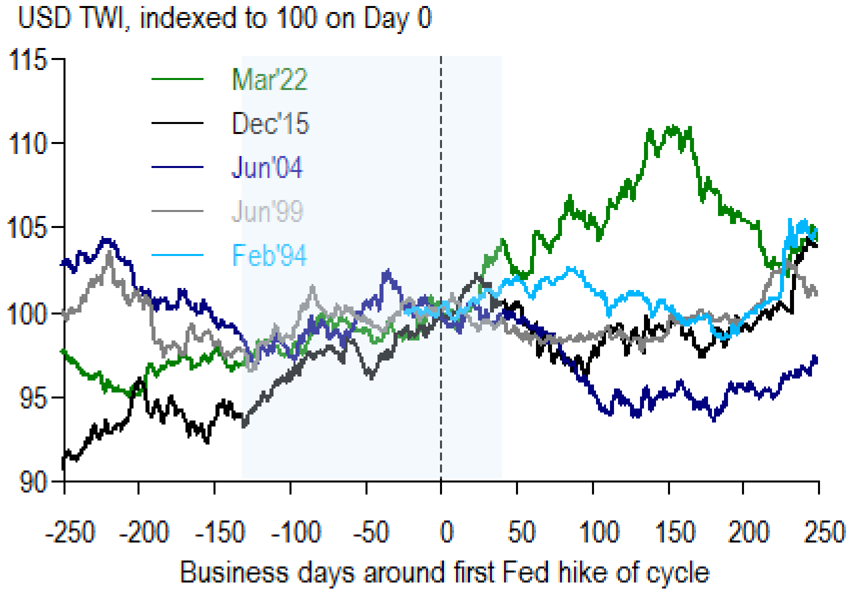


Source: J.P. Morgan Economics

- The firming inflation outlook kicked off by the US-Iran conflict is intensifying, even as the growth outlook is starting to recover.
- Signs of US exceptionalism continue to intensify as well. The dollar will maintain its yield dominance even if the Fed is on hold; if data were to nudge the Fed to put hikes on the table amid strong US growth/ equity performance, it would be a reversion to US exceptionalism of recent years, a risk we remain sensitive to.
- Against this backdrop, our preferred strategy continues to be (1) long USD particularly vs the low yielders (EUR, CAD), (2) overweight FX carry globally (AUD, NOK in DM; BRL, HUF in EM)

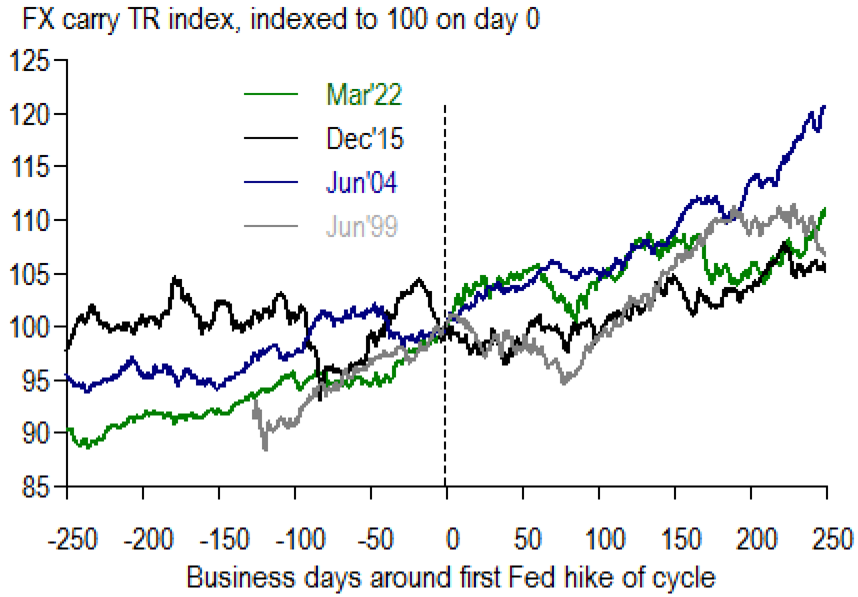
Prepare, don't predict: Anatomy of Fed hiking cycles for FX

Blue shaded area highlights the phase of reliable USD TWI appreciation in the lead-up to the first Fed hike across cycles



Source: J.P. Morgan

Total returns (transaction cost included) from Global FX carry strategy index based on carry / vol rankings, around the onset of Fed hiking cycles



Source: J.P. Morgan Economics

- Before assessing the quantum of USD upside from any actual tightening in coming months, it is worth anchoring expectations in the historical record.
- Reliable dollar appreciation in the lead-up: The broad dollar tends to appreciate ~5% in the period between ~6-months leading up to the first Fed hike to ~1-month after, before an element of sell-the-fact sets in, absent an abnormally ferocious cycle such as 2022.
- FX carry is fine when the Fed tightens: Fed tightening has historically not only not been a problem for FX carry, but has actually been actively beneficial in the early quarters both in the lead-up to and following the first hike.

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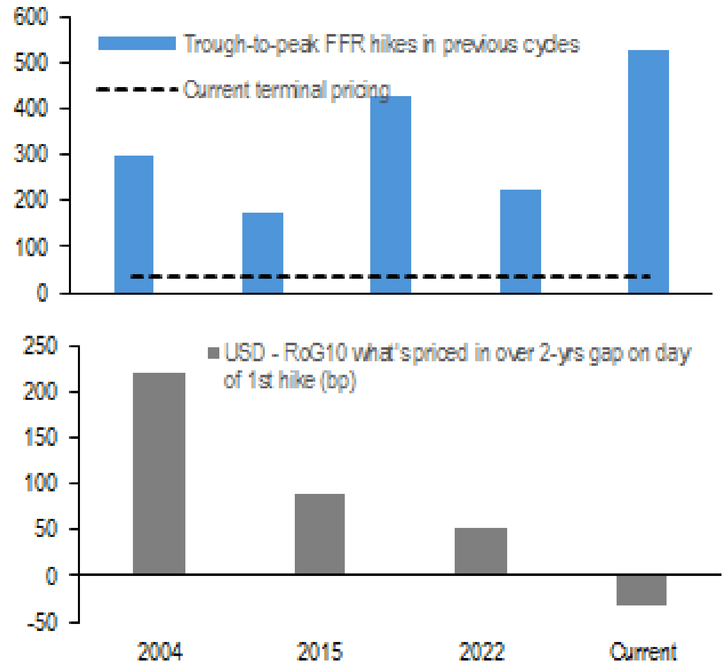
Push and pull for the dollar in the current cycle

Fed hikes in the past cycles

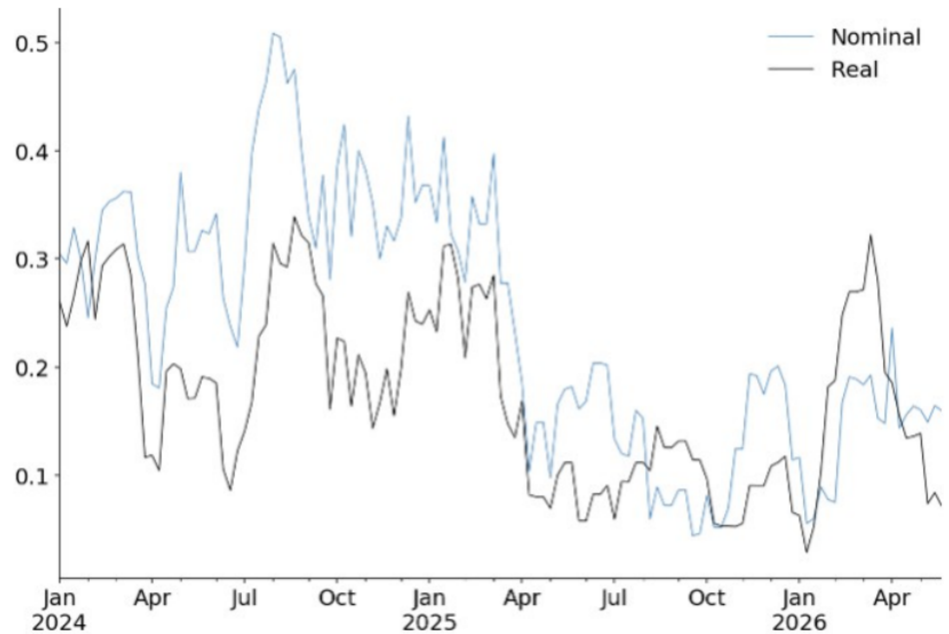


Source: J.P. Morgan

- While Fed's urgency to tighten in coming months remains a topic of intense market debate, we note that the quantum of USD upside in the event of actual tightening is subject to conflicting forces.
- On the one hand, the next Fed cycle is almost certainly not going to be a 2022 redux given the starting point of much better adjusted real rates, better-behaved inflation expectations, less acute demand-side inflation pressures and looser labor markets this time around.
- On the other hand, the lesson of history is that if/when Fed hikes do eventually get going, the cycle rarely turns out to be shallow: the delivered peak-to-trough tightening amplitude has not been less than 175bp in the last 5 hiking cycles, for which current USD OIS terminal pricing is patently unprepared.

Real yields should continue to have a strong bearing on FX, which at least suggests some cushion against further USD downside

Rolling cross-sectional R2 of weekly changes in real yields vs FX (USD, EUR, GBP, JPY, AUD, CAD). 1m rolling avg.

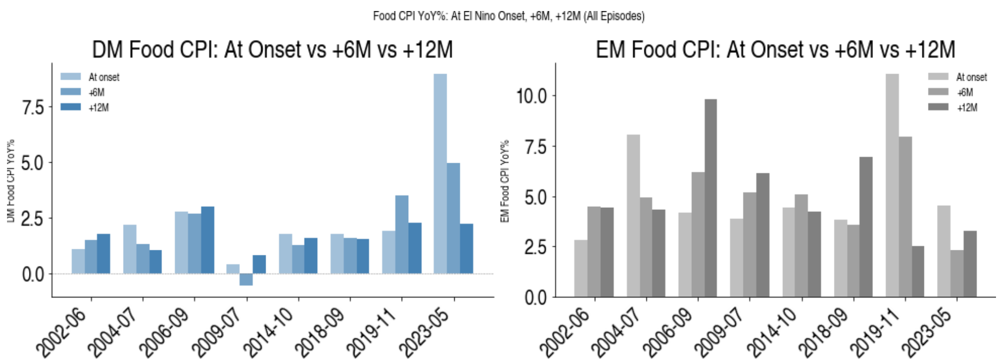


Source: J.P. Morgan

- Real yields should matter for FX given energy-driven inflation/breakevens and CB reaction functions. **During the early stages of war, yields explained FX returns better than nominals**, and real carry has also outperformed nominal carry in our systematic signals.
- Possible explanations for current dislocations: **1) USD is slightly cheap in expectations of an Iran deal; 2) RoW real yields could improve if energy normalizes,** and 3) The binary nature of the conflict and still-persistent oil/USD correlations may dilute 'relative' signals
- **It is possible that the USD catches higher to rates, though history also suggests rates can come lower to the USD** (1H'25 rates catch down to USD; 4Q'23 rates and USD converges; 3Q'23 cheap USD catches higher to rates)

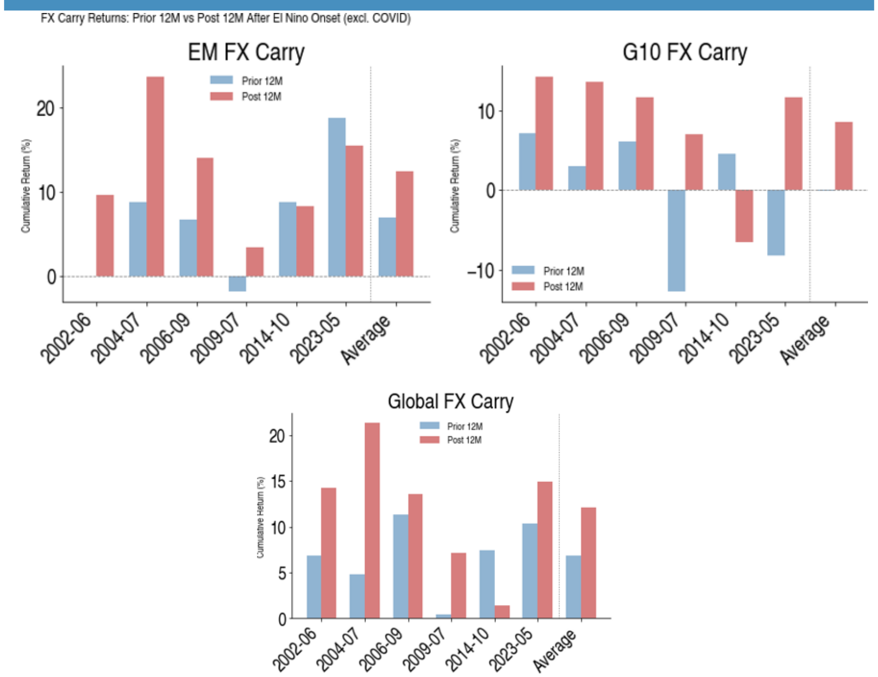
El Niño: Inflationary effects, if any, would also be supportive of FX carry

Food CPU YoY% at El Nino onset, +6M, +12M (All episodes starting 2000)



Source: J.P. Morgan, Bloomberg Finance L.P.

FX carry returns: Prior 12M vs Post 12M since El Nino onset (excl. covid)



Source: J.P. Morgan, Bloomberg Finance L.P.

- **In our view, a transmission channel into FX markets is via inflation/ monetary policy with implications for FX carry.** Historically, DM inflation impact from El Niño has been subdued, but has been more idiosyncratically relevant for EM. On average, FX carry returns tend to be stronger in higher inflation regimes and post El Niño.

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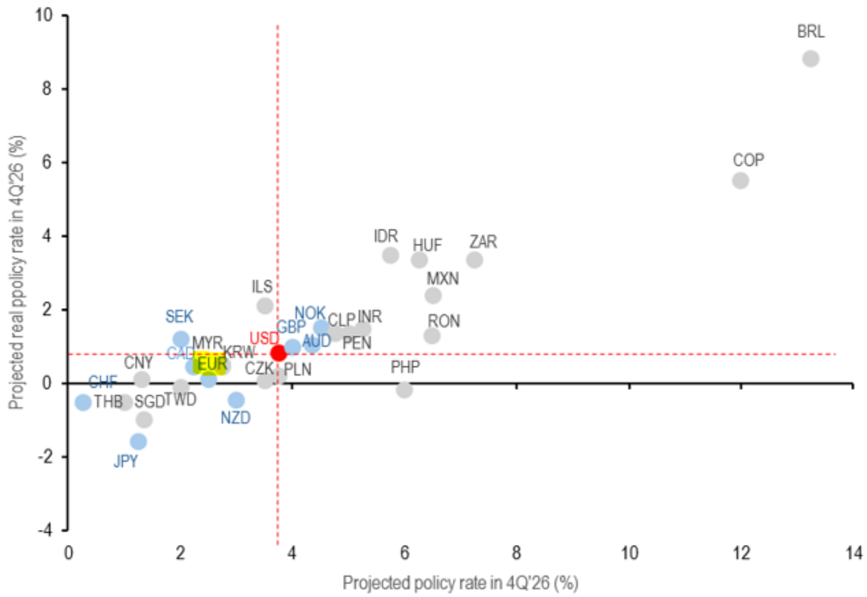
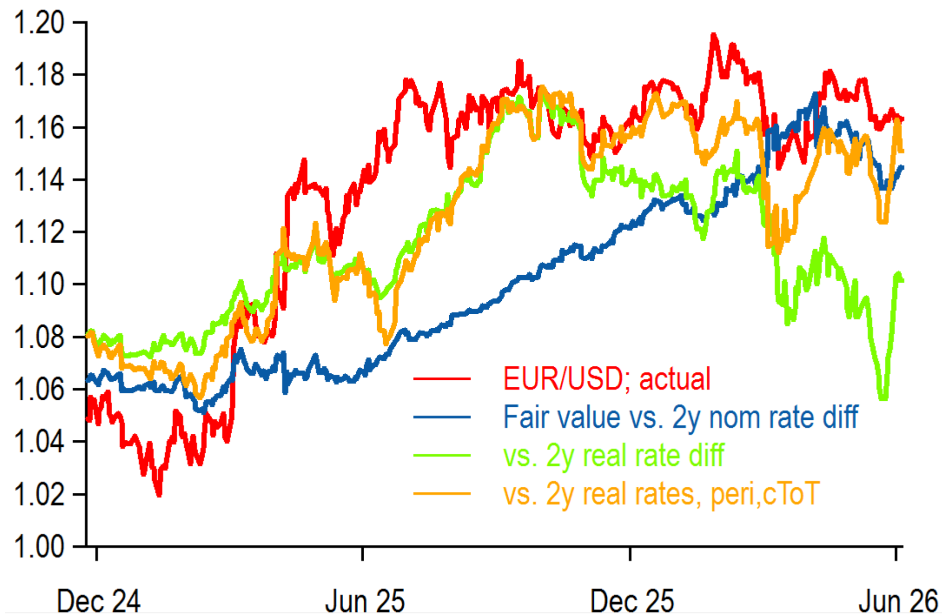
EUR: We have pivoted to a bearish-EUR/USD forecast since mid-May, and we see bearish factors intensifying; EUR/USD 3Q'26 1.15, 1Q'27 1.13

X: Projected policy rate X: Projected real policy rate in 4Q'26



Source: J.P. Morgan

EUR/USD: Actual vs. select fair value



Source: J.P. Morgan

- Two bearish euro factors have intensified since we pivoted to a bearish EUR/USD forecast: **1) relative growth divergence between the EU and US has widened** (via PMIs and EASIs); **2) hawkish Fed re-pricing has moved rate differentials in favour of the dollar**
- **The euro will still be a relative low yielder even with a couple of rate hikes consistent with our baseline. Also, EUR/USD is going into the ECB meeting overshooting vs. our measures of short-term fair value (1.10-1.15)**
- We previously **downgraded EUR/USD medium-term targets** to **3Q'26 1.15**, **1Q'27 1.13**. Near-term target at 1.17 unchanged as any resolution between the US and Iran should result in EUR/USD strength, but we expect this to be short-lived.

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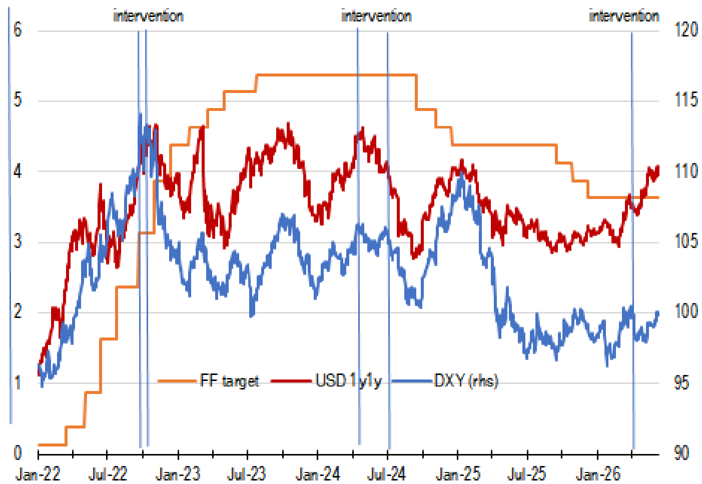
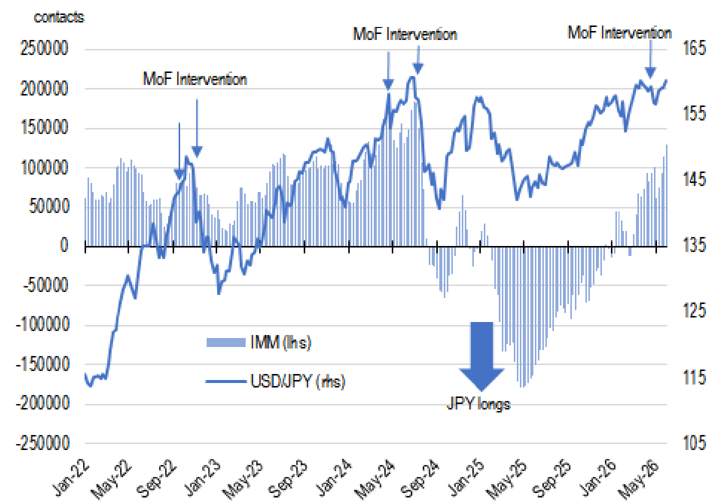
JPY: MoF Intervention does not change our mid-term Yen-bearish view; USD/JPY 4Q 164

FF rate, USD 1y1y, DXY



Source: J.P. Morgan, Bloomberg Finance L.P.

JPY contracts in IMM future

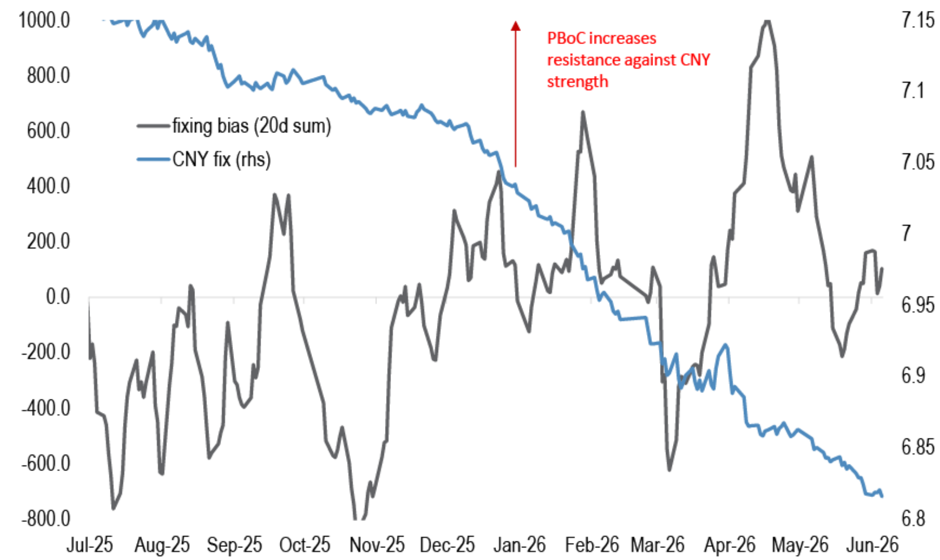


Source: J.P.Morgan, Bloomberg Finance L.P.

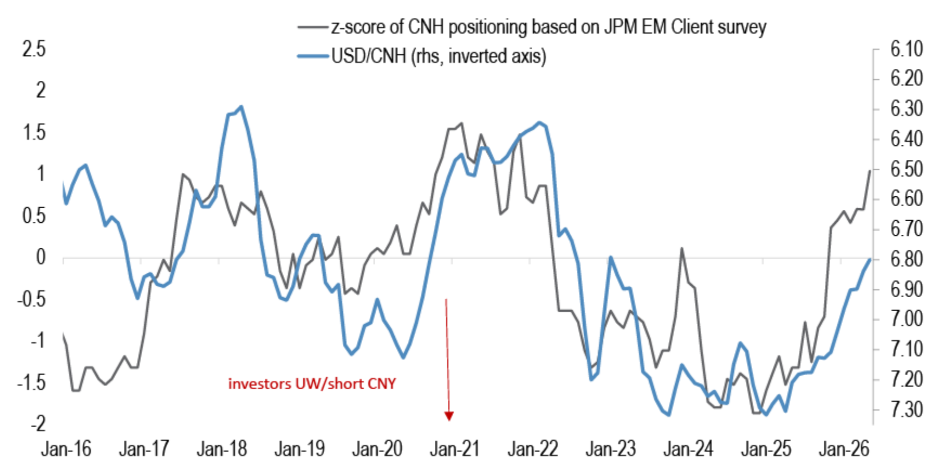
- Our medium- to long-term USD/JPY target already assumed intervention prior to the JPY 162 cycle high; Intervention concerns may cap USD/JPY for a while, but we expect it to eventually break out of its range and move higher**; our targets remain 158 in 2Q26, 160 in 3Q26, and 164 in 4Q26.**
- The global monetary policy cycle remains unfavorable for JPY, and the **Takaichi administration's policy mix heightens risks of elevated inflation** and **further depreciation**. Elevated oil prices reinforce our medium- to long-term bearish outlook.
- In the 2022 and 2024 episodes, the authorities did not try to defend any specific level. This can be seen as consistent with G7 FX commitments, but more fundamentally it simply underscores that, for a currency like the yen—freely traded under a floating regime and with a large market—**intervention has difficulty stopping or reversing an underlying trend driven by fundamentals.**

CNY: CNY FX awaits fresh signals; stay bullish while calibrating forecasts; USD/CNY 2Q 6.80, 4Q 6.70

Fixing bias calculated as difference between actual fix and JPM estimate with CCF



CNH positioning on JPM EM client survey, and USD/CNH Spot



Source for both: Bloomberg Finance L.P., J.P. Morgan

- **PBoC's resistance towards CNY strength has moderated since May**. Crowded positioning aside, investor anxiety about reversal risk in USD/CNH appears to stem from two factors. **First, recent CNY strength seems at odds with deteriorating activity data. Second, the FX–rates disconnect has become more pronounced.**
- **We remain constructive on the CNY in the near term and continue to position for downside in USD/CNH via options**, and an expected state visit by President Xi to the US in September may add impetus for near-term downside in USD/CNH.
- **We have also tentatively lifted the back end of the forecast to 6.75–6.80 for 1H27**, after spot troughing in 2H26, recognizing that USD/CNY is unlikely to fully buck broader dollar trends—particularly if the US exceptionalism narrative gains traction and the risk of incremental Fed hikes increases into 2027.

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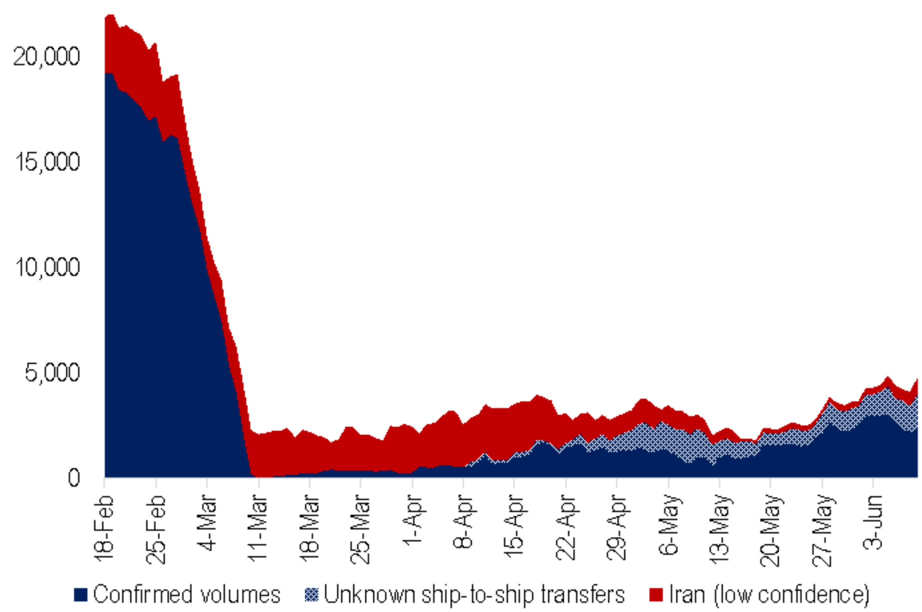
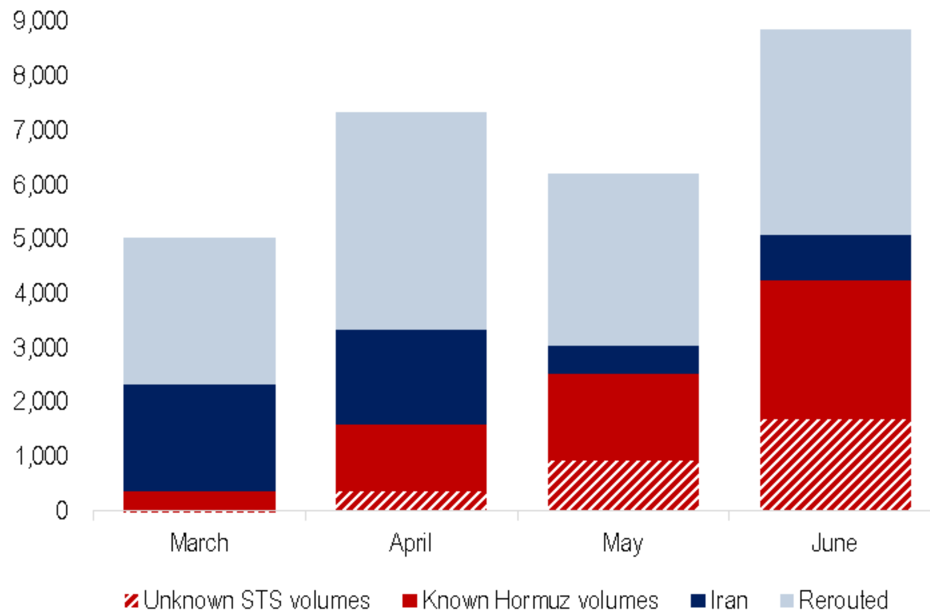
Oil Markets: Schrödinger's Strait

Oil exports via the Strait of Hormuz
kbd, 10 day MA



Source: Kpler, J.P. Morgan Commodities Research

Persian Gulf exports, by export channel
kbd

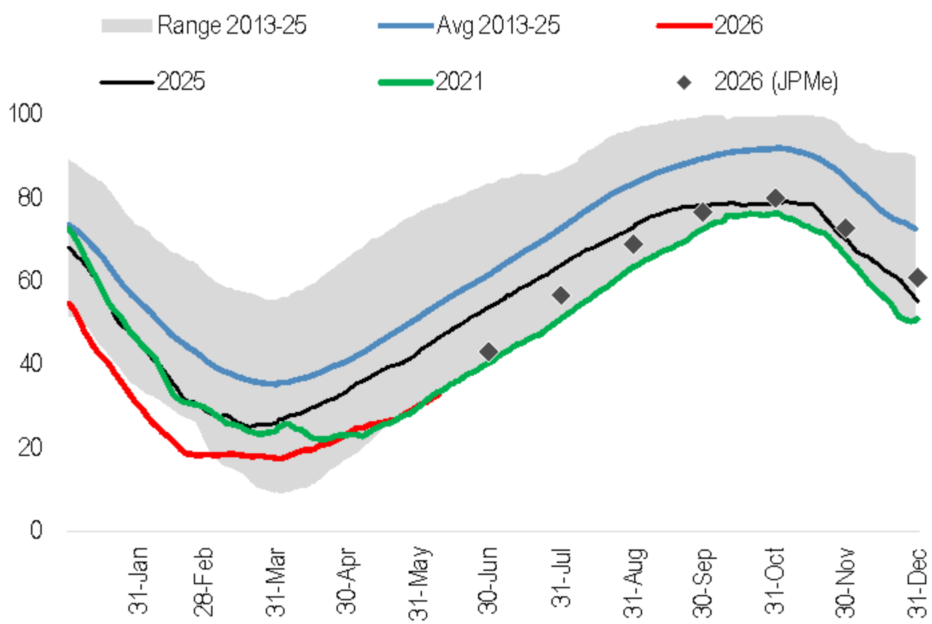


Source: Kpler, J.P. Morgan Commodities Research

- Since March 1, the Strait of Hormuz has been treated by much of the world as effectively closed. Major military operations disrupted commercial shipping, insurers withdrew coverage, tanker traffic collapsed, and oil exports from the Persian Gulf fell sharply. By any conventional definition, the Strait has ceased functioning as a normal maritime corridor in the eyes of nervous global markets. Yet over the last two weeks, particularly since the Memorial Day, a growing volume of oil appears to be finding its way through.
- On our measure, the box is starting to creak open. We estimate June oil flows through Hormuz are running at 5.1 mbd, up from 2.9 mbd in May, 3.3 mbd in April, and 2.2 mbd in March. The rebound is meaningful, but it still leaves flows at only about 25% of pre-war levels. Within that total, roughly 0.8 mbd is labeled as Iranian exports. These cargos likely do not reflect "true" Hormuz transits: they appear to move, then pause in Omani waters, and likely turn back following US Navy blockade. We include the 0.8 mbd in our crossings estimate, but flag them as low-certainty.

European Natural Gas Market: The perfect storm

NWE gas storage level
% full



Source: AGSI, GIE, Bloomberg Finance L.P., J.P. Morgan Commodities Research

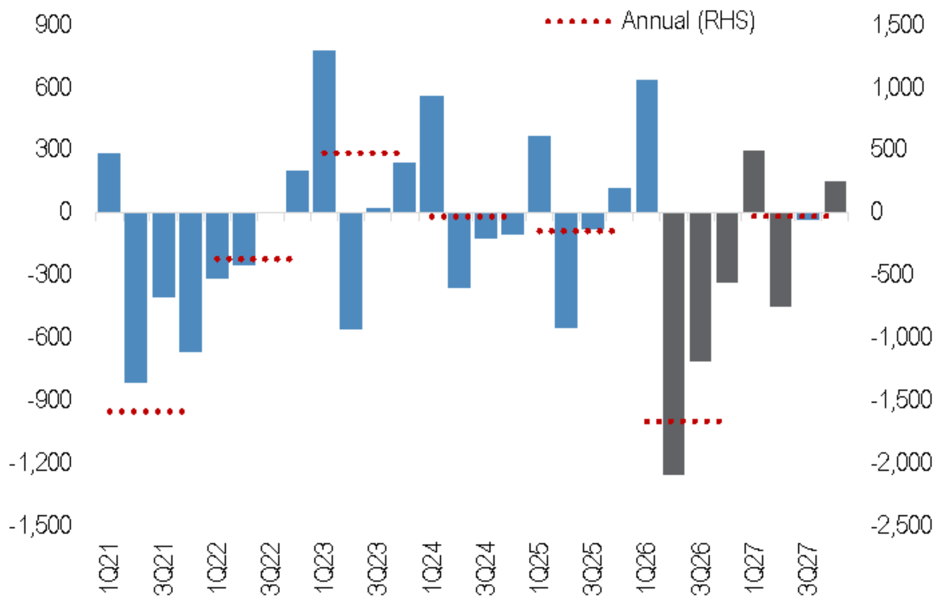
2026 and 2027 September-November TTF spread
EUR/MWh

Source: Bloomberg Finance L.P., J.P. Morgan Commodities Research

- NWE storage sits at record lows for this time of year, and the longer summer TTF prices remain at a premium to winter prices and at a discount to JKM, the higher the risk of policy intervention. TTF discount to JKM is pulling spot cargoes to Asia where demand remains robust and developing (super) El Niño summer risks even higher cooling demand in Asia. Meanwhile, incremental LNG supply growth is slowing, Golden Pass appears to be facing start-up challenges, and Qatar's ramp-up will still take 2-3 months after a Hormuz re-opening.
- The TTF/JKM curve echoes last year's narrative of Europe being unwilling to outbid Asia in the summer, growing comfortable with relatively low pre-winter storage levels and relying on LNG imports in winter as needed. That approach led to significant price spikes in January during a brief transatlantic cold spell, and the risks are significantly higher this winter. Put differently, if our summer forecast (55 EUR/MWh) proves too high, our winter forecast (60 EUR/MWh) may well prove significantly too low.

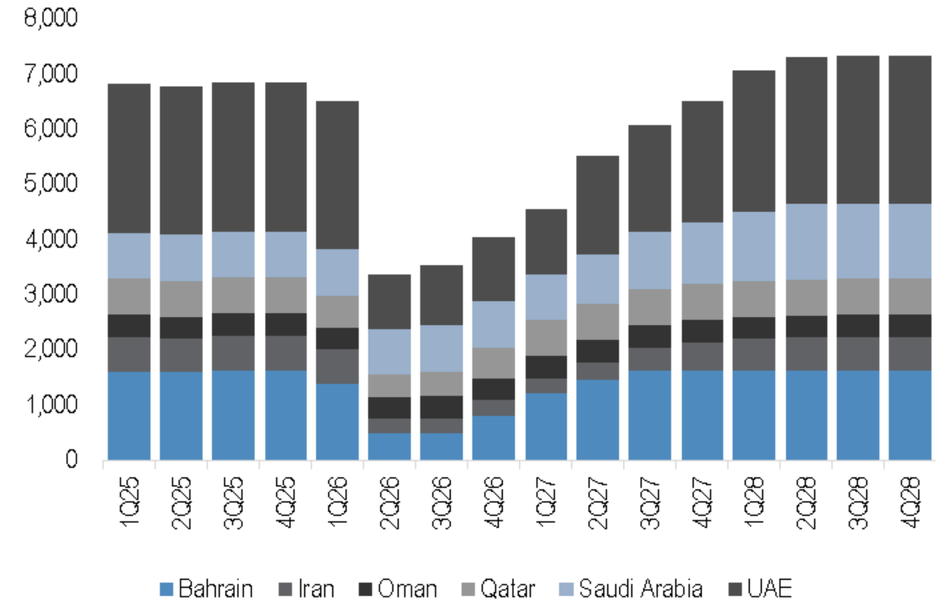
Metals Markets: Aluminum's invisible deficit is about to become visible

Global primary aluminum balance, quarterly
Thousand mt



Source: Company Reports, Government and Industry data, IAI, CRU, J.P. Morgan Commodities Research

JPM estimates for Middle East primary aluminum production, quarterly
Thousand mt, annualized



Source: Company reports, CRU, J.P. Morgan Commodities Research

- Even with higher Chinese supply forecasts and a base case that Middle East smelters begin the process of ramping up idled production next quarter, we still forecast a more than 2 mmt aluminum deficit over 2Q26-4Q26. For now, this supply gap is being bridged first by a draw in "invisible" inventories (producer/trader/consumer stocks). Yet these hidden stocks are also now depleting, with industry feedback suggesting only ~2 more months of drawdown coverage. With our balances showing a primary aluminum deficit of nearly 1 mmt that still needs to be covered in 2H26, the deficit should increasingly transmit into draws in visible inventory, which are heavily concentrated (75%) in China.

- The sharp deficit in aluminum is taking time to transmit through the supply chain, a process that will continue even after the Strait reopens. We are in the middle innings and still think aluminum prices are biased higher in the coming quarters. We still expect an ultimate push towards $4,000/mt and now see aluminum prices averaging $3,750/mt over 2H26.

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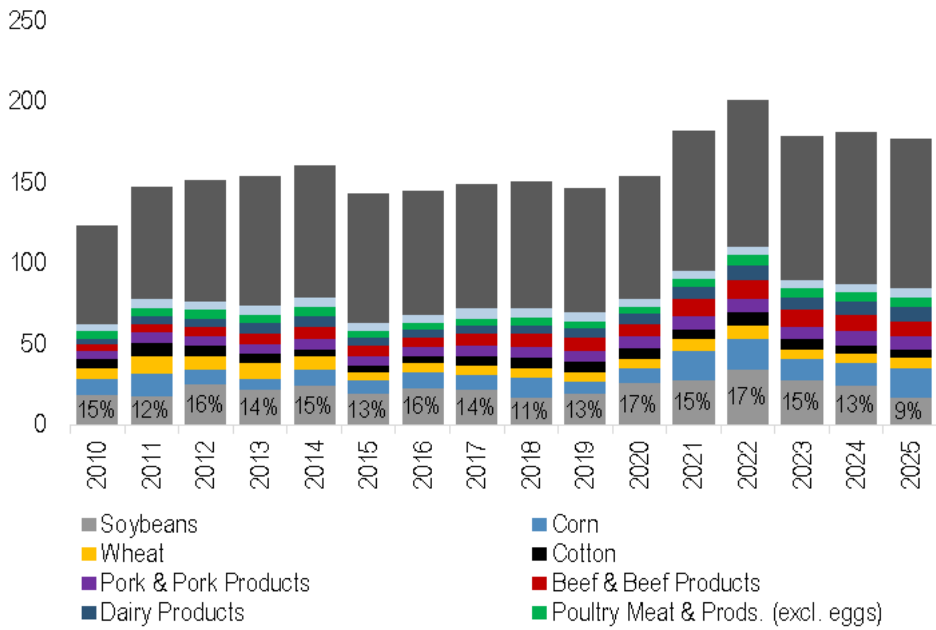
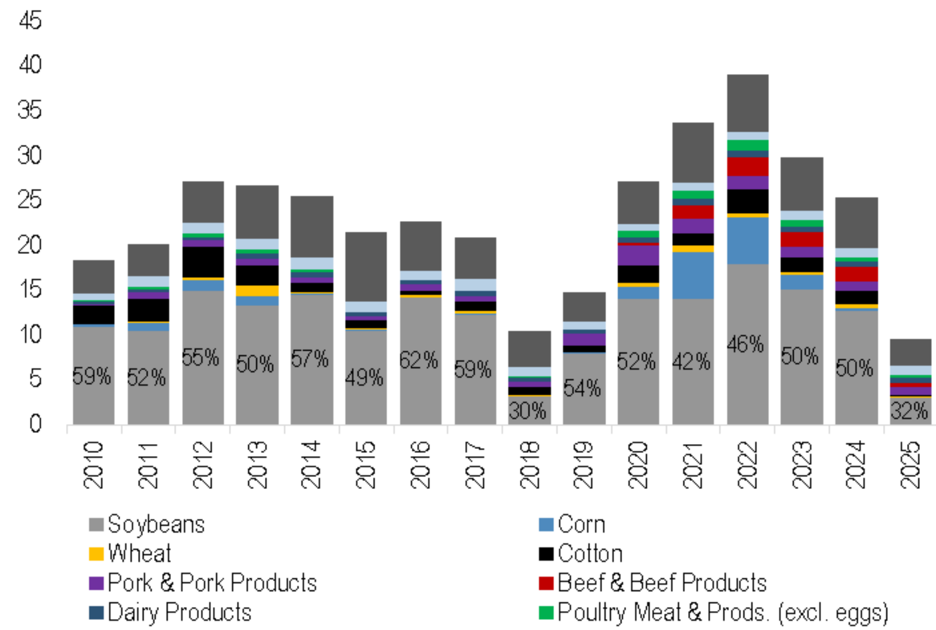
Agriculture: $17bn US-China agriculture trade deal

Total US agriculture exports
$ billion



Source: USDA, J.P. Morgan Commodities Research

US agriculture exports to China
$ billion



Source: USDA, J.P. Morgan Commodities Research

- As part of the US-China summit held on May 15-16 in Beijing, China has agreed to purchase US agricultural products of at least $17 billion per year in addition to the already agreed upon purchase commitments (announced November 1, 2025) of 25 million tonnes of soybean purchases per year in 2026-28.
- The White House fact sheet also mentioned that China renewed export licenses for more than 400 US beef facilities and added new listings. This was further corroborated by the US Meat Export Federation, which confirmed China's General Administration of Customs (GACC) officially granting a 5-year registration extension to 425 US beef plants and adding 77 additional registrations.
- Additionally, the fact sheet stated a resumption of imports of poultry from US states that are determined by USDA to be free of pathogenic avian influenza.

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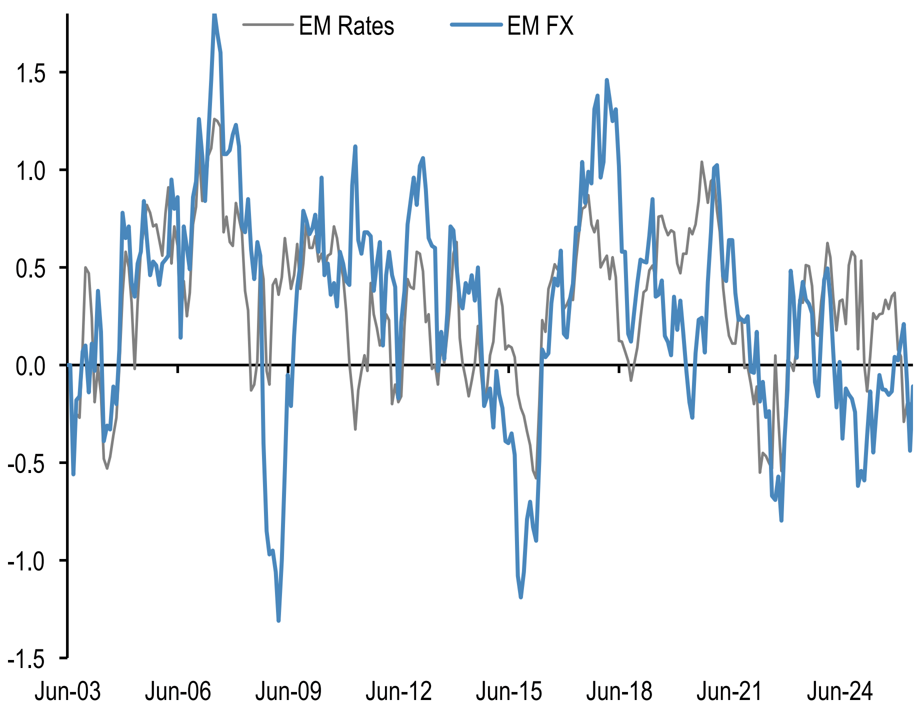
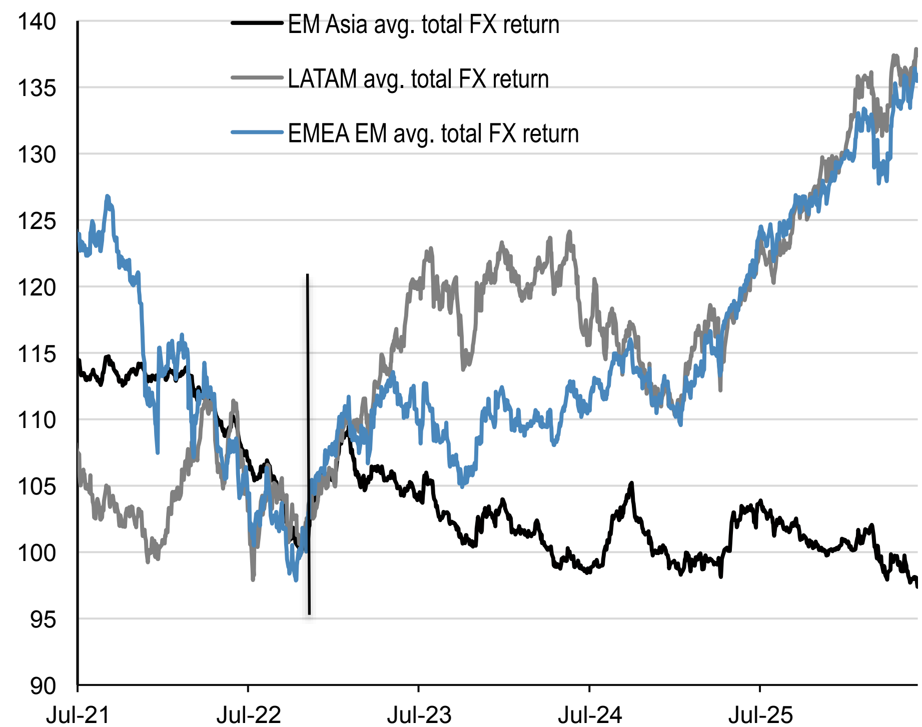
We return to an OW stance in EM FX after we squared our position to MW on April 30

1st principle component measure derived from positioning, flow, vol, skew and technical indicators



Source: J.P. Morgan, Bloomberg Finance L.P., IIF, EPFR

Divergence in regional performance remains considerable



Source: J.P. Morgan, Bloomberg Finance L.P.

- **This is comprised of OWs in Latam (CLP and MXN); OWs in EMEA EM (CZK, HUF, ZAR partially hedged for EURUSD moves via a smaller UW in RSD) and UW in EM Asia (UW THB).**
- Our portfolio remains pro-carry but we also rotate into currencies where central banks are proactively turning hawkish in response to a stronger growth/inflation mix.
- **We remain UW EM Asia, where pressures from the energy shock are most prevalent and where yields are still broadly inadequate to inspire inflows.**

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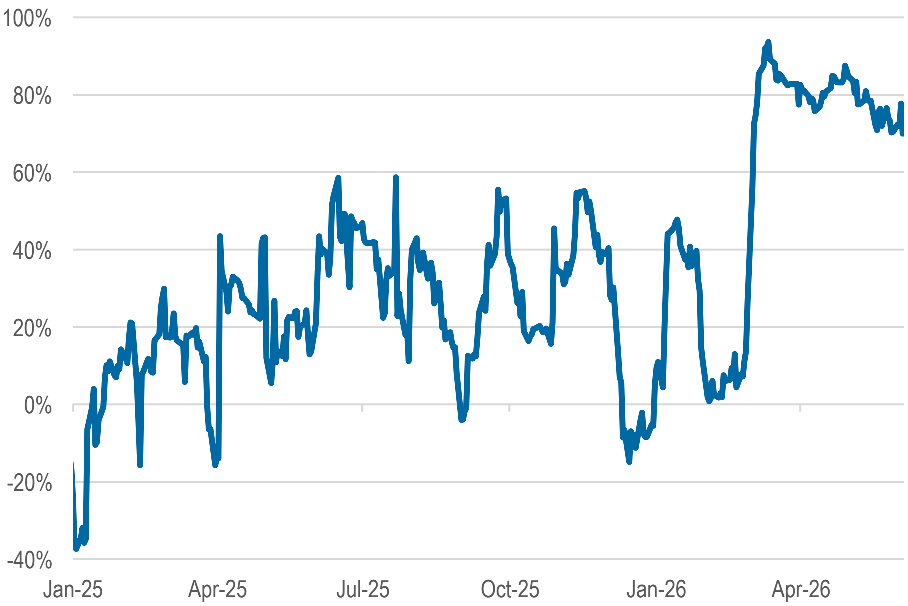
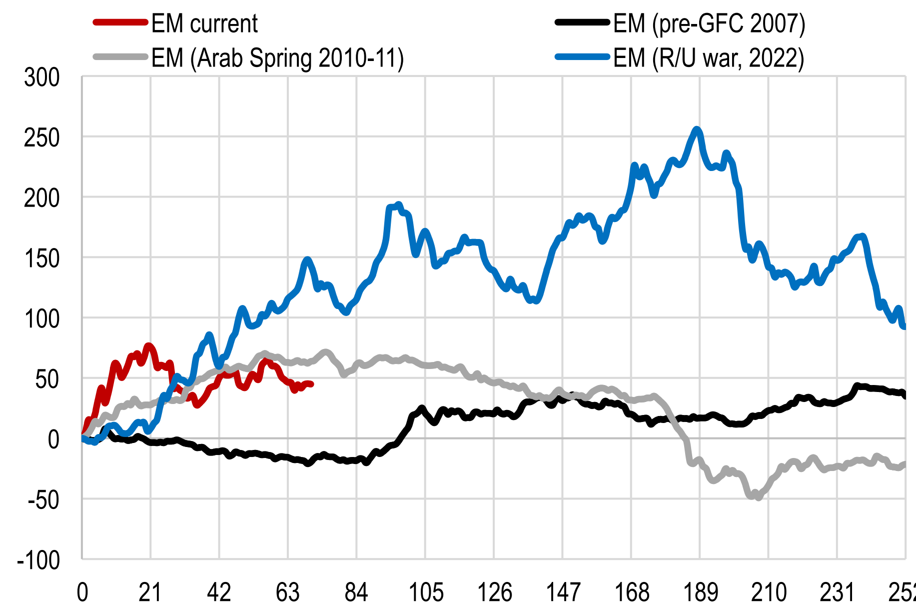
Cross-currents of still large oil volatility, upcoming tightening cycles but better levels and solid fundamentals keep us MW EM Rates

21d rolling correlation between GBI-EM GD yield and 1m fwd Brent crude oil prices, %, using daily changes



Source: J.P. Morgan, Bloomberg Finance L.P.

Left axis: simple average cumulative changes in 5y swap yields (PLN, HUF, CZK, ILS, ZAR, MXN, CLP, INR, KRW, MYR, THB, SGD) from the start of each historical episode and current episode, bp. Bottom axis: business days since start of episode



Source: J.P. Morgan, Bloomberg Finance L.P.

- Rolling correlations of GBI-EM yields to oil prices are still very elevated, albeit off the highs. Accordingly, given the potentially large range of oil price outcomes, it is hard to take a strong directional EM rates view. If oil prices fall sharply on conflict resolution, it is a rather obvious conclusion that EM rates will move sharply lower as an initial reaction.
- **Our portfolio OWs are largely idiosyncratically driven (Hungary, Colombia, Mexico), balanced by UWs in Chile, Peru and Thailand.**
- With higher-for-longer oil prices and resilient EM growth, we view EM rates through the reflationary lens into 2H26. We believe the most comparable periods for EM rates into 2H26 are pre-GFC (2005-07), post-GFC (2010-11) and post-QE (2016-19), where EM growth was recovering but inflationary pressures were not extreme and EM FX was not under pressure.

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GBI-EM Model Portfolio: We move OW EM FX (from MW) and stay MW EM rates

GBI-EM Model Portfolio and YTD performance

GBI-EM Model Portfolio and YTD Performance

Portfolio Attribution YTD (bp)

	Bonds	FX	Total
Country positions	+35	+31	**+66**
Overlay contribution	+1	-6	**-6**
Final portfolio	**+36**	**+24**	**+60**

Portfolio Positions

	Bond CTD	Bond Weight	FX Weight
Country positions	0.075	3.02%	2.25%
Overlay position	-0.075	-1.96%	-
Final portfolio	**0.000**	**1.05%**	**2.25%**

Annualized TEV (bp)	**+46**	Annualized vol of final portfolio active positions (inc. overlays)
1-month VaR (bp)	**-23**	Portfolio excess return at the 5th percentile over 1-month period. Historical VaR is -21bp

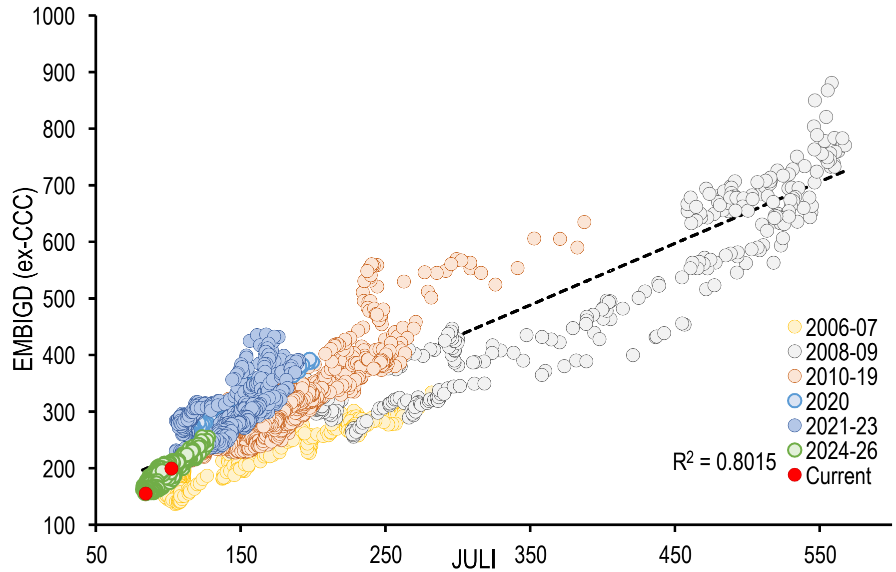
	Final positions		*Country positions*			*YTD excess returns (country positions, bp)*		
	Bond View	**FX View**	**Bond CTD**	**Bond Weight**	**FX Weight**	**Bonds**	**FX**	**Total**
GBI-EM	MW	OW	0.075	+3.02%	+2.25%	+35	+31	+66
EM Asia	UW	UW	(0.100)	-1.65%	-1.00%	-0	+6	+6
EMEA EM	OW	OW	0.150	+3.63%	+1.50%	+34	+15	+49
Latin America	MW	OW	0.025	+1.46%	+1.75%	+2	+10	+11
China	MW	MW	-	-	-	-	-	-
India	MW	MW	-	-	-	-	+0	+0
Indonesia	MW	MW	-	-	-	-	-	-
Malaysia*	MW	MW	-	-	-	-	+0	+0
Thailand	UW	UW	(0.100)	-1.65%	-1.00%	-0	+6	+5
Czech Republic	MW	OW	-	-	+0.75%	-	-1	-1
Hungary	OW	OW	0.150	+3.63%	+1.50%	+21	+16	+38
Poland	MW	MW	-	-	-	-4	-6	-10
Romania	MW	MW	-	-	-	+7	-1	+6
Turkey	MW	MW	-	-	-	-	+5	+5
Serbia	MW	UW	-	-	-1.25%	-	+1	+1
South Africa	MW	OW	-	-	+0.50%	+9	+0	+9
Brazil	MW	MW	-	-	-	-8	+0	-8
Chile	UW	OW	(0.075)	-1.48%	+0.50%	+1	+1	+2
Colombia	OW	MW	0.100	+2.38%	-	+1	-	+1
Dominican Republic	MW	MW	-	-	-	+4	+6	+10
Mexico	OW	OW	0.100	+2.07%	+1.00%	+1	+4	+5
Peru	UW	MW	(0.125)	-1.94%	-	+3	-2	+1
Uruguay	MW	MW	-	-	-	-	-	-
Paraguay	OW	OW	0.025	+0.43%	+0.25%	+0	+0	+0

*FX carry returns calculated using T-Bills (up to 3m)

Source: J.P. Morgan; YTD statistics as of 05-Jun-26 COB. *FX returns calculated using Malaysia T-bills (up to 3m).

EM credit spreads will hold tight levels and could even grind tighter unless there is a concern of a growth shock; Stay MW

In 2006-7, EM sovereigns (ex CCC) were even tighter for a wider level of JULI STW (bp)



Note: VENZ – spread chg to date: -2744, to peak sell off: -1994.
Source: J.P. Morgan.

EM corporate sensitivity to rates by region with local funding and external vulnerability assessment

	CEMBI sensitivity to rates					
	Average life	Duration	YTW	Note	Local funding	External vulnerability
Asia	5.6	3.7	5.5	Overall short duration	Low but rising rates, abundant local liquidity	Low due to strong current accounts and FX reserves
Asia IG	5.9	4.0	5.0	Short for IG	Very strong local investor support	Strong current account surplus with high ratings
Asia HY	4.5	2.9	7.6	Very short duration, high yield		Smaller surpluses and some external concerns
Latin America	7.7	4.7	6.8	Longest region	Rates on the higher side, especially Brazil. Local funding markets still in development phase	Medium risk, but commodity cycle provides some offsets
Latin America IG	9.6	6.0	5.7	Longest segment		
Latin America HY	6.4	3.9	7.8	Long for HY		
Middle East	6.3	4.2	5.8	Average	Strong local investor support, but hard currency liquidity dependent on oil exports	Low due to pegged currrencies, but geopolitics a variable
Middle East IG	6.7	4.5	5.4			
Middle East HY	5.0	3.3	7.5			
EM Europe	5.1	3.5	7.2	Short with high yield	Mixed, EUR funding an option	Mixed, watch Turkey
Africa	7.5	4.3	6.3	Average		High

Source: J.P. Morgan.

- **EM credit spreads will hold tight levels and could even grind tighter unless there is a concern of a growth shock.** EM credit spreads are historically tight, and the risks ahead seem asymmetric for marginal additional tightening vs potentially significant widening. That said, credit spread product is broadly tight across different asset classes. If we compare the EMBIGD (ex CCC) vs the historically tight levels for US IG credit, we can see back in 2006-07 period, EM sovereigns were even tighter for a wider level of JULI.
- **We believe that EM corporates should be less exposed to the negative repercussions from higher rates compared to history as well as other EM asset classes.**
- **There are three broad channels through which higher rates can affect the fundamentals of EM corporates -** direct impact on funding costs in both hard and local currency, external vulnerability concerns on a country level if there is perceived weakness in the balance of payments with currency volatility, and ultimately fears of global recession risk.

EMBIGD Model Portfolio: Remain MW

Portfolio Returns YTD	
Benchmark return	2.81%
Portfolio return	3.24%
Portfolio Performance (bp)	43
Portfolio return -12 months-	13.4%
Benchmark return -12 months-	12.2%

Portfolio Attribution YTD	
Market position return (bp):	4
Credit selection return (bp):	39
Portfolio Outperformance (bp):	43

		As of June 12, 2026			Since Initiation		YTD Changes & Returns				
Credit selection returns	**View**	**Current Position**	**Spread**	**Duration**	**Initiation Date**	**Spread Chg vs EMBIG (bp)**	**Spread Chg (bp)**	**Spread Chg vs EMBIG (bp)**	**Spread Returns (bp)**	**Carry Returns (bp)**	**Credit Returns (bp)**
Argentina	OW	1.0%	435	4.4	3-Oct-24	(716)	(125)	(105)	4	2	5
Colombia	OW	1.0%	189	6.2	8-Jun-26	(10)	(10)	(10)	1	(0)	0
Ecuador	OW	1.0%	386	5.6	25-Nov-25	(206)	(106)	(86)	7	1	8
Egypt	OW	1.0%	356	5.7	8-Apr-26	(54)	(105)	(54)	2	0	2
Saudi Arabia	OW	1.0%	81	6.3	8-May-26	0	(2)	0	2	0	(0)
South Africa	OW	1.0%	193	8.0	28-May-26	(6)	(10)	(6)	0	(0)	0
Trinidad and Tobago	OW	1.0%	148	5.5	27-Apr-26	(21)	(33)	(21)	1	(0)	0
Brazil	UW	-1.0%	182	6.8	8-Jun-26	10	10	10	1	0	1
Honduras	UW	-0.3%	176	3.7	6-Mar-26	(2)	(23)	(2)	0	0	0
Indonesia	UW	-0.8%	76	7.1	29-Oct-24	114	17	37	5	1	6
Nigeria	UW	-1.0%	264	5.8	28-May-26	0	(4)	0	2	0	0
Oman	UW	-1.0%	87	5.7	8-May-26	8	6	8	1	0	1
Philippines	UW	-0.8%	70	7.4	24-Apr-26	7	(2)	7	2	1	1
Poland	UW	-0.8%	87	7.6	8-Apr-26	38	(13)	38	3	1	4
Sri Lanka	UW	-0.8%	171	5.8	21-May-26	(59)	(69)	(59)	2	-	(3)
Uruguay	UW	-0.8%	61	9.1	18-Feb-26	(2)	(12)	(2)	0	1	1
Closed position return (bp):		11.7					Current Credit selection return(bp)				28

Source: J.P. Morgan

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Agenda

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Global economic outlook summary

	Real GDP % over a year ago			Real GDP % over previous period, saar						Consumer prices % over a year ago			
	2025	2026	2027	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.0	2.0	0.5	1.6	2.5	1.5	1.8	2.3	2.7	**3.9** ↓	**3.8** ↓	**2.1** ↑
Canada	1.9	0.4	1.5	-1.0	-0.1	1.0	1.4	1.4	1.7	2.2	2.8	2.2	1.4
Latin America	2.1	1.8	2.0	2.1	1.3	3.1	2.1	1.6	1.8	3.9	4.5	4.6	3.6
Argentina	4.4	3.2	3.2	2.5	1.3	5.5	4.0	3.0	2.8	31.8	32.8	29.4	20.5
Brazil	2.3	1.8	1.6	1.0	4.5	2.0	0.8	0.4	1.6	4.5	4.6	4.8	3.6
Chile	2.5	1.6	3.6	2.1	-1.1	4.5	4.1	3.5	1.5	3.4	4.4	3.8	2.8
Colombia	2.6	2.6	1.5	0.1	2.4	2.5	1.5	0.5	1.5	5.3	5.8	6.2	5.9
Ecuador	3.7	3.0	2.0	12.7	4.5	0.3	1.0	2.0	3.0	1.4	1.9	2.2	1.5
Mexico	0.5	1.0	1.7	2.9	-2.4	3.3	2.5	2.0	1.6	3.7	4.3	4.3	3.6
Peru	3.4	2.8	3.0	2.2	2.4	5.0	4.0	4.0	2.0	1.4	4.2	4.2	2.8
Uruguay	1.8	0.8	1.6	0.5	-0.6	2.0	3.2	1.0	1.3	4.0	3.1	4.3	5.1
Asia/Pacific	4.5	**4.3** ↑	3.6	5.1	5.9	**3.4** ↑	**3.1** ↑	**3.2** ↑	**3.9** ↓	1.2	2.1	2.3	**2.1** ↑
Japan	1.1	**0.6** ↓	0.7	**0.7** ↓	**1.8** ↓	0.2	1.0	0.8	0.8	2.7	1.4	3.1	3.7
Australia	2.0	2.0	1.8	3.5	1.1	1.6	1.5	1.9	1.5	3.6	4.9	4.6	3.4
New Zealand	0.2	1.9	2.3	1.0	3.3	1.2	3.4	1.2	4.0	3.1	4.0	3.7	2.5
EM Asia	**5.2** ↑	4.9	**4.2** ↑	5.8	6.7	**3.9** ↑	**3.5** ↑	**3.6** ↑	**4.5** ↓	0.9	**1.9** ↓	2.1	1.7
China	5.0	4.7	3.9	5.2	6.7	4.0	3.2	3.2	4.5	0.6	1.2	0.9	0.7
India	7.7	6.5	6.3	7.5	8.0	5.1	5.0	6.2	6.3	0.8	4.1	5.6	5.5
Ex China/India	4.0	**4.7** ↑	**3.6** ↑	**6.6** ↑	**6.0** ↑	**3.0** ↑	**3.4** ↑	**3.3** ↑	**3.6** ↓	1.8	**2.8** ↓	3.4	**2.5** ↑
Hong Kong	3.6	3.4	2.9	4.3	12.2	3.0	2.8	2.8	3.0	1.3	1.6	1.7	1.6
Indonesia	5.1	4.7	4.9	5.7	5.7	3.7	3.3	3.0	5.3	2.8	2.7	3.6	3.0
Korea	**1.1** ↑	**3.7** ↑	**2.7** ↑	**-0.4** ↑	**7.5** ↑	**2.0** ↑	**4.0** ↑	**3.0** ↑	**2.5** ↓	2.4	3.0	**3.5** ↑	**2.6** ↑
Malaysia	5.2	4.6	4.1	5.9	1.7	5.0	4.5	4.0	4.0	1.4	2.0	2.1	1.8
Philippines	4.4	4.0	5.6	2.4	3.8	4.9	5.7	8.2	4.1	1.7	**6.9** ↓	**8.1** ↓	**4.9** ↑
Singapore	5.0	4.3	2.7	5.2	3.9	3.0	2.0	2.0	3.0	1.2	1.9	2.4	2.0
Taiwan	8.8	**9.9** ↑	3.7	28.7	6.9	**4.5** ↑	**3.2** ↓	**3.2** ↓	4.0	1.3	**2.1** ↓	2.2	**1.7** ↑
Thailand	2.4	2.1	2.5	7.6	2.7	-1.1	1.2	2.0	3.2	-0.5	2.8	3.9	1.4
Western Europe	1.5	0.5	1.2	0.7	-0.3	0.5	1.0	1.2	1.3	2.3	3.0	**3.2** ↓	2.2
Euro area	1.5	0.3	1.2	0.7	-0.9	0.3	1.0	1.3	1.3	2.1	3.1	3.2	2.0
Germany	0.3	0.8	1.4	1.0	1.4	0.3	1.3	1.5	1.5	2.3	2.8	2.6	2.0
France	0.9	0.5	1.0	0.8	-0.4	0.0	0.5	1.0	1.0	0.8	2.7	2.9	1.6
Italy	0.7	0.6	0.5	1.2	1.1	-0.3	0.3	0.5	0.5	1.2	3.1	4.0	1.7
Spain	2.8	2.2	1.6	3.1	2.5	1.5	1.5	1.5	1.5	3.1	3.6	3.3	2.6
Norway	1.7	**1.0** ↓	**1.6** ↓	0.6	0.6	**1.4** ↓	1.8	1.8	1.8	3.1	3.3	3.7	2.6
Sweden	1.7	2.1	2.0	3.4	-0.6	4.0	2.0	2.3	2.0	0.5	**0.3** ↓	**0.9** ↓	**2.0** ↑
United Kingdom	1.4	1.2	1.0	0.6	2.5	1.0	0.5	1.0	1.2	3.4	2.9	3.7	3.1
EMEA EM	2.1	2.0	2.9	2.0	**-0.6** ↑	4.2	3.2	2.8	2.7	10.6	10.5	**9.7** ↓	**8.0** ↓
Czech Republic	2.5	2.1	2.2	2.9	0.6	2.5	2.0	2.5	2.1	2.2	**2.2** ↓	**2.4** ↓	**2.2** ↓
Hungary	0.4	1.9	2.7	0.7	3.2	1.8	1.9	2.5	3.0	3.8	**1.9** ↓	**3.3** ↓	**4.0** ↓
Israel	2.9	3.7	4.1	2.9	-3.3	10.0	5.0	3.8	3.5	2.5	2.0	1.9	1.7
Poland	3.6	3.4	2.9	4.1	2.4	4.3	3.3	3.0	2.8	2.6	**3.1** ↓	**3.3** ↓	**3.1** ↓
Romania	0.7	0.0	3.0	**-7.4** ↑	**0.0** ↑	3.4	3.6	3.2	2.8	9.7	**10.7** ↑	**5.7** ↓	5.0
Russia	1.0	1.0	1.9	3.1	-3.1	4.3	2.0	1.8	1.5	6.6	5.5	5.3	4.4
South Africa	1.1	**1.1** ↑	1.4	1.5	**2.2** ↑	0.0	1.5	1.2	1.6	3.6	4.6	4.9	3.3
Türkiye	3.6	3.0	4.6	1.5	0.5	4.0	5.5	4.6	4.5	31.6	32.5	29.8	24.3
Global	2.8	2.4	2.4	2.3	2.5	2.5	**2.1** ↑	2.2	2.6	2.7	3.5	3.6	2.5
Developed markets	1.8	1.3	1.6	0.6	0.9	1.5	1.3	1.5	1.8	2.6	**3.4** ↓	**3.5** ↓	2.2
Emerging markets	4.2	4.0	3.6	4.7	4.8	**3.8** ↑	3.2	**3.2** ↑	**3.8** ↓	2.8	3.6	3.6	2.9
Emerging ex China	3.6	**3.5** ↑	3.4	4.3	**3.3** ↑	**3.7** ↑	**3.3** ↑	**3.2** ↑	**3.3** ↓	4.7	5.7	5.9	4.9
Global — PPP weighted	3.3	2.9	2.9	3.1	**3.1** ↑	2.8	2.4	2.5	3.0	2.9	3.8	3.9	3.0

Source: Government agencies and J.P. Morgan Global Economics. Details on request. Note: For some emerging economies seasonally adjusted GDP data are estimated by J.P. Morgan. Bold denotes changes from last edition of *Global Data Watch*, with arrows showing the direction of changes. Underline indicates beginning of J.P. Morgan forecasts. Unless noted, concurrent nominal GDP weights calculated with current FX rates are used in computing our global and regional aggregates. Regional CPI aggregates exclude Argentina and Ecuador. Source: J.P. Morgan. Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China) and Taiwan (China).

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Global Central Bank Watch

	Official rate	Current rate (%pa)	4-qrtr change (bp) Last	Next	Last change	Next mtg	Forecast next change	Forecast (%pa) Jun 26	Sep 26	Dec 26	Mar 27	Jun 27
Global		3.96	-54	-13				3.96	3.98	3.96	3.91	3.83
excluding US		4.05	-42	-18				4.06	4.07	4.05	3.98	3.87
Developed		3.07	-38	13				3.08	3.17	3.19	3.19	3.19
Emerging		5.28	-79	-51				5.27	5.16	5.10	4.97	4.78
Latin America		10.07	-72	-82				10.02	9.82	9.64	9.45	9.25
EMEA EM		14.88	-409	-248				14.71	14.36	13.99	13.22	12.40
EM Asia		2.31	-8	-2				2.33	2.30	2.33	2.34	2.29
The Americas		4.53	-73	-11				4.53	4.50	4.47	4.45	4.42
United States	Fed funds	3.75	-75	0	10 Dec 25 (-25bp)	17 Jun 26	Sep 27 (+25bp)	3.75	3.75	3.75	3.75	3.75
Canada	O/N rate	2.25	-50	0	29 Oct 25 (-25bp)	15 Jul 26	On hold	2.25	2.25	2.25	2.25	2.25
Brazil	SELIC O/N	14.50	-25	-225	29 Apr 26 (-25bp)	17 Jun 26	Jun 26 (-25bp)	14.25	13.75	13.25	12.75	12.25
Mexico	Repo rate	6.50	-199	0	7 May 26 (-25bp)	25 Jun 26	On hold	6.50	6.50	6.50	6.50	6.50
Chile	Disc rate	4.50	-50	75	16 Dec 25 (-25bp)	16 Jun 26	Oct 26 (+25bp)	4.50	4.50	4.75	5.00	5.25
Colombia	Repo rate	11.25	200	50	31 Mar 26 (+100bp)	30 Jun 26	**Jun 26 (+50bp)**	12.00	12.00	12.00	12.00	11.75
Peru	Reference	4.25	-25	100	11 Sep 25 (-25bp)	9 Jul 26	**9 Jul 26 (+25bp)**	**4.25**	**4.50**	**4.75**	**5.00**	5.25
Europe/Africa		5.38	-87	-41				5.34	5.45	5.36	5.19	4.96
Euro area	Depo rate	**2.25**	25	25	6 Jun 26 (+25bp)	23 Jul 26	**Sep 26 (+25bp)**	2.25	2.50	2.50	2.50	2.50
United Kingdom	Bank rate	3.75	-50	0	7 Aug 25 (-25bp)	18 Jun 26	Jul 26 (+25bp)	3.75	4.00	4.00	4.00	3.75
Norway	Dep rate	4.25	-25	0	7 May 26 (+25bp)	18 Jun 26	Sep 26 (+25bp)	4.25	4.50	4.50	4.50	4.25
Sweden	Repo rate	1.75	-50	25	23 Sep 25 (-25bp)	17 Jun 26	Sep 26 (+25bp)	1.75	2.00	2.00	2.00	2.00
Czech Republic	2-wk repo	3.50	0	50	7 May 25 (-25bp)	18 Jun 26	**Jun 26 (+25bp)**	**3.75**	**4.00**	**4.00**	**4.00**	**4.00**
Hungary	Base rate	6.25	-25	-100	24 Feb 26 (-25bp)	23 Jun 26	Jun 26 (-25bp)	6.00	6.00	6.00	5.75	5.25
Israel	Base rate	3.75	-75	-75	25 May 26 (-25bp)	6 Jul 26	Jul 26 (-25bp)	3.75	3.25	3.00	3.00	3.00
Poland	7-day interv	3.75	-150	0	4 Mar 26 (-25bp)	8 Jul 26	On hold	3.75	3.75	3.75	3.75	3.75
Romania	Base rate	6.50	0	-25	7 Aug 24 (-25bp)	8 Jul 26	May 27 (-25bp)	6.50	6.50	6.50	6.50	6.25
Russia	Key pol rate	14.50	-550	-450	24 Apr 26 (-50bp)	19 Jun 26	Jun 26 (-50bp)	14.00	13.00	12.00	11.00	10.00
South Africa	Repo rate	7.00	-25	0	28 May 26 (+25bp)	23 Jul 26	Jul 26 (+25bp)	7.00	7.25	7.25	7.25	7.00
Türkiye	1-wk repo	37.00	-900	-400	22 Jan 26 (-100bp)	23 Jul 26	**21 Jan 27 (-100bp)**	**37.00**	**37.00**	37.00	35.00	33.00
Asia/Pacific		2.23	-1	8				2.28	2.26	2.31	2.33	2.32
Australia	Cash rate	4.35	50	0	5 May 26 (+25bp)	16 Jun 26	Aug '27 (-25bp)	4.35	4.35	4.35	4.35	4.35
New Zealand	Cash rate	2.25	-100	100	26 Nov 25 (-25bp)	8 Jul 26	Jul 26 (+25bp)	2.25	2.75	3.00	3.25	3.25
Japan	O/N call rate	0.75	27	75	19 Dec 25 (+25bp)	16 Jun 26	Jun 26 (+25bp)	1.00	1.00	1.25	1.25	1.50
Hong Kong	Disc. wndw	4.00	-475	0	10 Dec 25 (-25bp)	-	Sep 27 (+25bp)	4.00	4.00	4.00	4.00	4.00
China	7-day rev repo	1.40	0	-20	7 May 25 (-10bp)	-	3Q 26 (-10bp)	1.40	1.30	1.30	1.30	1.20
Korea	Base rate	2.50	0	100	29 May 25 (-25bp)	16 Jul 26	July 26 (+25bp)	2.50	2.75	3.00	3.25	3.50
Indonesia	BI RRR	**5.50**	0	50	9 June 26 (+25bp)	18 Jun 26	Jun 26 (+25bp)	**5.75**	**6.00**	**6.00**	**6.00**	**6.00**
India	Repo rate[2]	5.25	-25	0	5 Dec 25 (-25bp)	5 Aug 26	On hold	5.25	5.25	5.25	5.25	5.25
Malaysia	O/N rate	2.75	-300	0	9 Jul 25 (-25bp)	9 Jul 26	On hold	2.75	2.75	2.75	2.75	2.75
Philippines	Rev repo	4.50	-100	150	23 Apr 26 (+25bp)	18 Jun 26	Jun 26 (+50bp)	5.00	5.50	6.00	6.00	6.00
Thailand	1-day repo	1.00	-75	0	25 Feb 26 (-25bp)	24 Jun 26	On hold	1.00	1.00	1.00	1.00	1.00
Taiwan	Official disc.	2.00	0	0	21 Mar 24 (+12.5bp)	18 Jun 26	On hold	2.00	2.00	2.00	2.00	2.00

Source: J.P. Morgan.

Bold denotes move since last GDW and forecast changes. Underline denotes policy meeting during upcoming week. Aggregates are GDP-weighted averages.

Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China) and Taiwan (China).

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US & International Rates forecast

		12-Jun	Sep-26	Dec-26	Mar-27	Jun-27	YTD chg. (bp)
US	Fed funds	3.50-3.75	3.50-3.75	3.50-3.75	3.50-3.75	3.50-3.75	-
	SOFR	3.64	3.60	3.60	3.60	3.65	-
	2Y bmk yield	4.07	4.15	4.20	4.20	4.30	62
	5Y bmk yield	4.19	4.40	4.45	4.50	4.50	51
	10Y bmk yield	4.47	4.65	4.70	4.75	4.75	34
	30Y bmk yield	4.96	5.10	5.15	5.15	5.15	15
	2s/10s bmk curve	40	50	50	55	45	-27
	10s/30s bmk curve	49	45	45	40	40	-19
	2s/30s bmk curve	89	95	95	95	85	-46
Euro area	Refi rate	2.40	2.65	2.65	2.65	2.65	-
	Depo rate	2.25	2.50	2.50	2.50	2.50	-
	3M Euribor	2.38	2.50	2.50	2.50	2.50	36
	2Y bmk yield	2.62	2.60	2.55	2.45	2.40	50
	5Y bmk yield	2.72	2.70	2.65	2.60	2.55	28
	10Y bmk yield	3.00	2.95	2.90	2.85	2.80	15
	30Y bmk yield	3.55	3.45	3.45	3.40	3.35	8
	2s/10s bmk curve	38	35	35	40	40	-35
	10s/30s bmk curve	55	50	55	55	55	-7
	2s/30s bmk curve	93	85	90	95	95	-42
vs. 6s	2Y swap spread	20	20	19	18	17	7
	5Y swap spread	12	12	13	13	14	3
	10Y swap spread	3	2	4	6	7	-2
	30Y swap spread	-35	-34	-31	-29	-26	-12
10Y spread	Austria	25	28	28	28	28	-3
to Germany	Belgium	55	55	58	60	55	5
(curve adj.)	Finland	35	33	33	33	33	5
	France	75	75	80	85	75	7
	Greece	69	70	70	70	70	9
	Ireland	18	15	15	15	15	-3
	Italy	78	85	85	80	80	11
	Netherlands	11	10	10	10	10	0
	Portugal	36	38	38	38	38	6
	Spain	48	45	45	45	45	7
	EU	40	38	35	35	35	8

		12-Jun	Sep-26	Dec-26	Mar-27	Jun-27	YTD chg. (bp)
UK	Base rate	3.75	4.00	4.00	4.00	3.75	-
	2Y bmk yield	4.27	4.25	4.20	4.15	4.10	51
	5Y bmk yield	4.40	4.35	4.35	4.35	4.25	33
	10Y bmk yield	4.86	4.80	4.80	4.75	4.70	30
	30Y bmk yield	5.56	5.45	5.45	5.45	5.40	36
	2s/10s bmk curve	59	55	60	60	60	-21
	10s/30s bmk curve	70	65	65	70	70	6
	2s/30s bmk curve	129	120	125	130	130	-15
vs. SONIA	2Y swap spread	-10	-10	-12	-15	-17	15
	5Y swap spread	-21	-22	-24	-26	-26	18
	10Y swap spread	-44	-45	-47	-50	-50	12
	30Y swap spread	-69	-70	-68	-65	-65	4
Japan	Policy rate	0.75	1.00	1.25	1.25	1.50	-
	2Y bmk yield	1.42	1.45	1.50	1.50	1.60	25
	5Y bmk yield	1.90	1.95	2.00	2.00	2.05	35
	10Y bmk yield	2.64	2.95	2.95	2.95	3.05	57
	20Y bmk yield	3.52	3.85	3.85	3.85	3.95	54
	30Y bmk yield	3.79	4.10	4.10	4.10	4.10	39
	2s/10s bmk curve	122	150	145	145	145	32
	10s/30s bmk curve	116	115	115	115	105	-18
	2s/30s bmk curve	237	265	260	260	250	14
Australia	Cash rate	4.35	4.35	4.35	4.35	4.35	-
	3Y bmk yield	4.47	4.30	4.10	4.10	4.00	34
	10Y bmk yield	4.90	4.60	4.50	4.60	4.50	16
New Zealand	Cash rate	2.25	2.75	3.00	3.25	3.25	-
	2Y bmk yield	3.50	3.50	3.50	3.50	3.50	50
	10Y bmk yield	4.55	4.40	4.30	4.20	4.15	11
Sweden	Repo rate	1.75	2.00	2.00	2.00	2.00	-
	2-year govt	2.26	2.35	2.35	2.30	2.25	18
	10-year govt	2.82	2.80	2.80	2.75	2.75	0
Norway	Depo rate	4.25	4.50	4.50	4.50	4.25	-
	2-year govt	4.43	4.55	4.45	4.20	4.00	46
	10-year govt	4.38	4.30	4.25	4.10	4.00	29

Source: J.P. Morgan. Levels as of 2pm London time. **Newly issued benchmark change is from inception up to COB

Commodities price forecasts

J. P. Morgan commodities price forecast

Quarterly and annual averages

		1Q26A	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2026	2027
Energy											
WTI Crude	US$/bbl	73	95	97	93	80	75	65	61	89	70
Brent Crude	US$/bbl	78	103	104	98	85	79	69	65	96	75
US Natural Gas (Henry Hub)	US$/MMBtu	4.0	3.4	3.6	4.2	4.0	3.5	3.6	3.9	3.8	3.7
European Natural Gas (TTF)	EUR/MWh	40	50	55	60	60	40	40	45	51	46
UK Natural Gas (NBP)	GBp/Therm	101	124	137	153	153	99	99	114	129	116
Japan Korea Marker (JKM)	US$/MMBtu	13.2	18.1	19.3	21.0	21.0	14.7	14.7	15.9	17.9	16.6
Base Metals											
Aluminum	US$/mt	3,198	3,650	3,800	3,700	3,450	3,200	2,900	2,750	3,587	3,075
Copper	US$/mt	12,824	13,500	13,000	12,500	11,800	11,600	11,600	11,500	12,956	11,625
Nickel	US$/mt	17,338	17,500	17,000	17,250	17,500	18,000	18,000	17,500	17,272	17,750
Zinc	US$/mt	3,237	3,420	3,500	3,400	3,300	3,200	3,050	3,000	3,389	3,138
Precious Metals											
Gold	US$/t oz	4,873	4,800	5,300	6,000	6,200	6,250	6,300	6,300	5,243	6,263
Silver	US$/t oz	83.7	78.5	85.0	90.0	88.0	87.0	85.0	83.0	84.3	85.8
Platinum	US$/t oz	2,204	2,050	2,250	2,400	2,450	2,400	2,300	2,250	2,226	2,350
Palladium	US$/t oz	1,706	1,490	1,550	1,600	1,550	1,500	1,450	1,400	1,586	1,475
Agriculture											
Wheat	USc/bu	556	560	560	580	570	570	560	600	564	575
Corn	USc/bu	438	460	450	470	460	460	450	480	455	463
Soybeans	USc/bu	1,117	1,100	1,050	1,100	1,100	1,130	1,100	1,150	1,092	1,120
Sugar (ICE #11)	Usc/lb	14.6	15.5	15.5	17.0	17.0	16.5	17.0	17.5	15.7	17.0
Cotton (ICE #2)	Usc/lb	64	73	74	75	75	76	76	76	72	76
MDE-Bursa Palm Oil	MYR/tonne	4,173	4,200	4,500	4,500	4,600	4,500	4,600	4,700	4,343	4,600

Source: J.P. Morgan Commodities Research. *1Q26 is realized.

Global FX forecasts (1 of 2)

Exchange rates vs. U.S dollar

		Current					JPM forecast gain/loss vs March 27*			Actual change in local FX vs USD			
Majors		**29-May**	**Jun 26**	**Sep 26**	**Dec 26**	**Mar 27**	**Spot**	**Forwards**	**Consensus****	**Past 1mo**	**Past 3mo**	**YTD**	**Past 12mos**
	EUR	1.16	1.17	1.15	1.14	1.13	-3.0%	-4.1%	-5.0%	-0.3%	-1.4%	-0.9%	2.4%
	JPY	159	158	160	164	164	-2.9%	-5.2%	-7.3%	0.7%	-2.0%	-1.6%	-9.5%
	GBP	1.34	1.34	1.31	1.28	1.30	-3.3%	-3.1%	-4.5%	-0.3%	-0.4%	-0.3%	-0.5%
	AUD	0.72	0.73	0.71	0.69	0.69	-3.8%	-3.2%	-5.5%	0.8%	0.8%	7.5%	11.3%
	CAD	1.38	1.37	1.38	1.39	1.39	-0.5%	-1.7%	-2.9%	-1.0%	-1.3%	-0.7%	-0.1%
	NZD	0.60	0.62	0.62	0.61	0.61	2.1%	1.4%	0.0%	2.5%	-0.4%	3.8%	0.1%
JPM USD index		107.1	106.7	107.1	107.4	107.5	0.4%	1.1%	1.6%	-0.2%	1.0%	-0.6%	-2.5%
DXY		99.1	98.6	100.3	101.5	101.9	2.8%	-4.0%	5.1%	0.1%	1.5%	0.8%	-0.2%
Europe, Middle East & Africa													
	CHF	0.78	0.78	0.79	0.80	0.81	-2.9%	-6.0%	-4.0%	1.2%	-1.6%	1.3%	5.2%
	ILS	2.80	2.85	2.80	2.70	2.70	3.9%	3.2%	7.4%	6.5%	11.8%	13.6%	24.4%
	SEK	9.25	9.23	9.39	9.47	9.47	-2.3%	-3.8%	-6.0%	0.7%	-2.4%	-0.5%	3.2%
	NOK	9.25	9.06	9.13	9.21	9.29	-0.4%	0.1%	-2.2%	0.9%	2.8%	9.0%	9.4%
	CZK	20.85	20.77	21.22	21.49	21.77	-4.2%	-4.6%	-6.2%	0.2%	-1.6%	-1.3%	5.2%
	PLN	3.63	3.68	3.74	3.77	3.81	-4.6%	-4.4%	-6.1%	0.5%	-1.5%	-1.1%	2.8%
	HUF	304	299	296	298	296	2.7%	3.5%	1.2%	2.9%	4.8%	7.5%	16.7%
	TRY	45.89	46.60	49.00	51.40	53.70	-14.5%	14.0%	-2.5%	-1.7%	-4.2%	-6.4%	-14.8%
	ZAR	16.23	16.40	16.40	16.00	16.00	1.4%	4.0%	1.7%	3.7%	-1.8%	2.0%	9.7%
Americas	ARS	1410	1450	1500	1550	1600	-11.9%	7.0%	5.3%	-1.3%	-0.8%	3.0%	-16.0%
	BRL	5.04	5.05	5.10	5.20	5.15	-2.0%	5.0%	2.1%	-1.0%	1.6%	8.5%	12.3%
	CLP	890	880	875	870	865	2.8%	2.8%	0.6%	2.1%	-1.9%	1.2%	5.1%
	COP	3640	3750	3850	3900	3900	-6.7%	0.7%	-3.7%	-0.5%	3.1%	3.8%	13.2%
	MXN	17.35	17.40	17.35	17.30	17.30	0.3%	2.8%	2.3%	1.1%	-0.7%	3.8%	11.4%
	PEN	3.41	3.55	3.60	3.60	3.60	-5.2%	-3.8%	-7.2%	3.2%	-1.8%	-1.5%	6.1%

Source: J.P. Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates.

** Bloomberg FX Consensus Forecasts compares 4Q'26

Global FX forecasts (2 of 2)

Exchange rates vs. U.S dollar

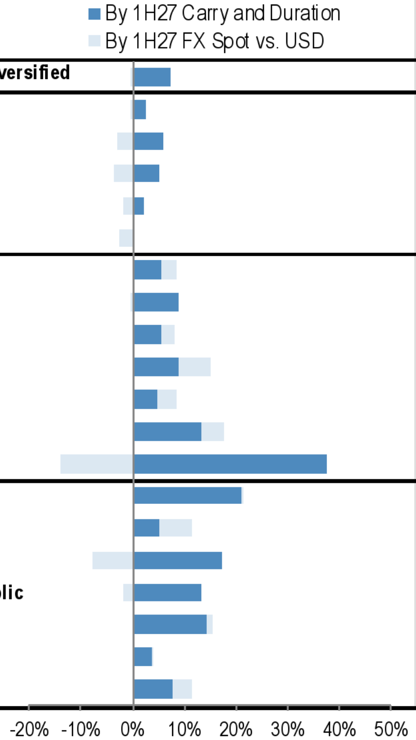
		Current					JPM forecast gain/loss vs March 27*			Actual change in local FX vs USD			
Majors		15-May	Jun 26	Sep 26	Dec 26	Mar 27	Spot	Forwards	Consensus**	Past 1mo	Past 3mo	YTD	Past 12mos
Asia	CNY	6.77	6.80	6.75	6.70	6.70	1.0%	-1.4%	0.6%	1.1%	1.4%	3.3%	6.2%
	HKD	7.84	7.82	7.83	7.83	7.83	0.1%	-0.8%	-0.4%	0.0%	-0.2%	-0.7%	0.1%
	IDR	17874	17200	17300	17300	17300	3.3%	5.3%	-0.9%	-3.3%	-6.2%	-6.6%	-8.9%
	INR	95.00	93.50	95.00	96.60	97.00	-2.1%	1.1%	-2.8%	-0.2%	-4.2%	-5.4%	-10.0%
	KRW	1507	1440	1430	1430	1430	5.4%	4.6%	1.0%	-1.2%	-4.5%	-4.5%	-9.0%
	MYR	3.96	3.90	3.85	3.80	3.75	5.7%	5.0%	3.7%	-0.3%	-1.8%	2.4%	7.0%
	PHP	61.60	60.50	60.00	60.00	60.00	2.7%	4.0%	0.3%	0.0%	-6.4%	-4.5%	-9.5%
	SGD	1.28	1.27	1.26	1.25	1.25	2.2%	0.0%	0.8%	0.3%	-0.9%	0.7%	0.8%
	TWD	31.36	31.50	31.40	31.40	31.40	-0.1%	0.7%	-0.6%	0.7%	-0.4%	0.2%	-4.6%
	THB	32.54	32.00	31.90	31.80	31.70	2.7%	1.1%	1.3%	0.5%	-4.5%	-3.2%	0.7%
EMCI		47.3	45.8	45.6	45.4	45.3	-4.1%	0.1%	-2.2%	0.3%	-0.8%	1.9%	3.8%
Exchange rates vs Euro										Actual change in local FX vs EUR			
	JPY	185	185	184	187	185	0.1%	-1.1%	-2.4%	0.9%	-0.6%	-0.8%	-11.6%
	GBP	0.87	0.87	0.88	0.89	0.87	-0.3%	1.0%	0.6%	-0.1%	1.1%	0.5%	-2.9%
	CHF	0.91	0.91	0.91	0.91	0.91	0.1%	-2.0%	1.1%	1.5%	-0.2%	2.2%	2.7%
	SEK	10.78	10.80	10.80	10.80	10.70	0.7%	0.3%	-1.0%	1.0%	-1.0%	0.4%	0.8%
	NOK	10.78	10.60	10.50	10.50	10.50	2.6%	4.4%	3.0%	1.2%	4.3%	9.9%	6.9%
	CZK	24.28	24.30	24.40	24.50	24.60	-1.3%	-0.5%	-1.2%	0.4%	-0.2%	-0.4%	2.6%
	PLN	4.23	4.30	4.30	4.30	4.30	-1.7%	-0.3%	-1.2%	0.7%	-0.1%	-0.3%	0.4%
	HUF	354	350	340	340	335	5.8%	7.9%	6.6%	3.2%	6.3%	8.5%	13.9%
	RON	5.25	5.30	5.35	5.40	5.40	-2.7%	-0.1%	-3.0%	-2.8%	-3.0%	-3.1%	-3.8%
	TRY	53.48	54.52	56.35	58.60	60.68	-11.9%	18.9%	2.7%	-1.4%	-2.9%	-5.5%	-16.7%
	BRL	5.87	5.91	5.87	5.93	5.82	0.9%	9.5%	7.6%	-0.7%	3.1%	9.9%	9.7%
	MXN	20.20	20.36	19.95	19.72	19.55	3.3%	7.2%	7.7%	1.4%	0.7%	4.7%	8.8%

↑ indicates a revision resulting in a stronger currency forecast, ↓ indicates a revision resulting in a weaker currency forecast. Source: J.P.Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates. ** Bloomberg FX Consensus Forecasts compares 1Q'27

J.P.Morgan

GBI-EM Global Diversified Return Forecast



	Total Return			Yield			Carry and Duration Rt			FX Spot vs. USD			FX Spot Return vs. USD		
	2H26F	1H27	By 1H27	Current	2H26F	1H27F	2H26F	1H27	By 1H27	Current	2H26F	1H27F	2H26F	1H27	By 1H27
GBI-EM Global Diversified	4.2%	3.1%	7.4%	**6.24%**	**6.18%**	**6.10%**	5.1%	2.3%	7.5%				-0.9%	0.8%	-0.1%
China	7.7%	-5.0%	2.3%	1.80%	1.75%	1.70%	3.0%	-0.5%	2.5%	6.78	6.85	6.85	4.5%	-4.5%	-0.2%
India	-2.6%	5.1%	2.4%	7.15%	7.30%	7.40%	4.0%	1.6%	5.7%	94.94	89.00	89.50	-6.4%	3.5%	-3.1%
Indonesia	-9.3%	11.7%	1.3%	6.91%	7.15%	7.30%	0.6%	4.5%	5.1%	18015	17000	17100	-9.9%	6.9%	-3.7%
Malaysia	3.4%	-2.8%	0.5%	3.77%	3.90%	4.00%	2.0%	0.4%	2.4%	4.02	4.00	4.00	1.3%	-3.2%	-1.9%
Thailand	-8.1%	6.0%	-2.6%	2.31%	2.55%	2.70%	-2.8%	2.9%	-0.0%	32.63	32.50	33.50	-5.5%	3.0%	-2.6%
Czech Republic	2.7%	5.7%	8.5%	4.60%	4.50%	4.50%	3.6%	1.7%	5.4%	20.93	21.79	21.21	-0.9%	3.8%	2.9%
Hungary	15.1%	-5.5%	8.7%	5.45%	5.05%	4.80%	12.8%	-3.4%	8.9%	307.89	330.36	318.97	2.0%	-2.1%	-0.1%
Poland	0.4%	7.8%	8.2%	5.25%	5.25%	5.25%	2.6%	2.9%	5.6%	3.67	3.79	3.66	-2.1%	4.7%	2.4%
Romania	6.9%	8.3%	15.8%	6.70%	6.50%	6.30%	7.4%	1.3%	8.8%	4.54	4.57	4.48	-0.5%	6.9%	6.4%
Serbia	2.7%	5.9%	8.7%	5.17%	5.30%	5.30%	3.2%	1.6%	4.9%	101.51	104.91	101.29	-0.5%	4.2%	3.7%
South Africa	10.0%	7.6%	18.4%	9.02%	9.00%	8.50%	6.2%	6.7%	13.3%	16.46	15.70	15.70	3.6%	0.9%	4.5%
Turkey	1.6%	16.4%	18.2%	35.51%	35.50%	35.50%	21.5%	13.3%	37.7%	46.08	48.00	53.50	-16.4%	2.7%	-14.2%
Brazil	21.4%	-0.2%	21.1%	14.79%	13.50%	13.00%	14.5%	5.8%	21.1%	5.15	5.35	5.40	6.0%	-5.6%	0.0%
Chile	9.5%	2.1%	11.8%	5.47%	5.40%	5.60%	4.9%	0.2%	5.1%	915	840	830	4.5%	1.8%	6.4%
Colombia	11.5%	-3.1%	8.0%	12.56%	12.50%	11.75%	14.7%	2.2%	17.3%	3591	3800	3800	-2.8%	-5.3%	-7.9%
Dominican Republic	13.4%	-2.0%	11.1%	9.92%	9.75%	9.50%	7.8%	5.0%	13.2%	58.40	63.50	63.50	5.2%	-6.7%	-1.8%
Mexico	15.3%	0.2%	15.5%	9.10%	8.75%	8.25%	10.4%	3.5%	14.3%	17.50	17.40	17.30	4.4%	-3.1%	1.1%
Peru	-3.9%	8.4%	4.1%	6.08%	6.25%	6.50%	2.3%	1.3%	3.6%	3.47	3.30	3.25	-6.0%	7.0%	0.5%
Uruguay	6.9%	4.4%	11.6%	7.44%	7.50%	7.50%	7.7%	-0.1%	7.6%	40.45	38.50	38.00	-0.7%	4.4%	3.7%

Source: J.P. Morgan; Using current index weights for forward projections. As of 05-June-26 COB.

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